Equity Research

WELLS FARGO

Multi Company Update — July 24, 2026

Aerospace & Defense
Government Services
Space

Weekly Wingman

Our Call

Into next week results, we favor GD/WWD/HXL (see Q2 preview Our Take on Earnings). So far during earnings, aero has outperformed by ~2% and defense by ~8%.

Up Next: BA/SAF/TXT earnings Tues, AIR.PA/ARXS/GD/WWD Weds and CRS/HII/HXL/RR Thurs.

BA: We see upside to Q2 FCF, although expect unchanged FY FCF range given SPEEA uncertainty and remaining 777X cert risk. We forecast Q2 FCF improving to $0.6B on higher deliveries and neutral working capital. We view 777X cert timing and delivery and learning curve profile as largest variables on path to $6-7B 2027 and $10B 2028 FCF.

GD: We are ahead on GD and expect further guidance raise. Aero deliveries look to have come in ahead in Q2, and we expect margin to hold up better than expected relative to 15% in Q1.

CRS: We see CRS guiding FY27 EBIT to ~$900M on 15% SAO growth (~20% A&D) with ~50% incrementals. We also expect guidance beyond FY27 to incorporate benefit of capacity expansion that will add $150M to EBIT.

LMT: We are raising our estimates to incorporate a higher base 2026 along with higher 7% revenue growth now assumed in 2027-28. We are increasing our price target to $600 from $575 to incorporate our updated model. Our price target continues to reflect a 18x FCF multiple on our 2028 FCF/sh forecast.

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All estimates/forecasts are as of 7/24/2026 unless otherwise stated. 7/24/2026 10:50:25EDT. Please see page 35 for rating definitions, important disclosures and required analyst certifications. Wells Fargo Securities, LLC does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of the report and investors should consider this report as only a single factor in making their investment decision.

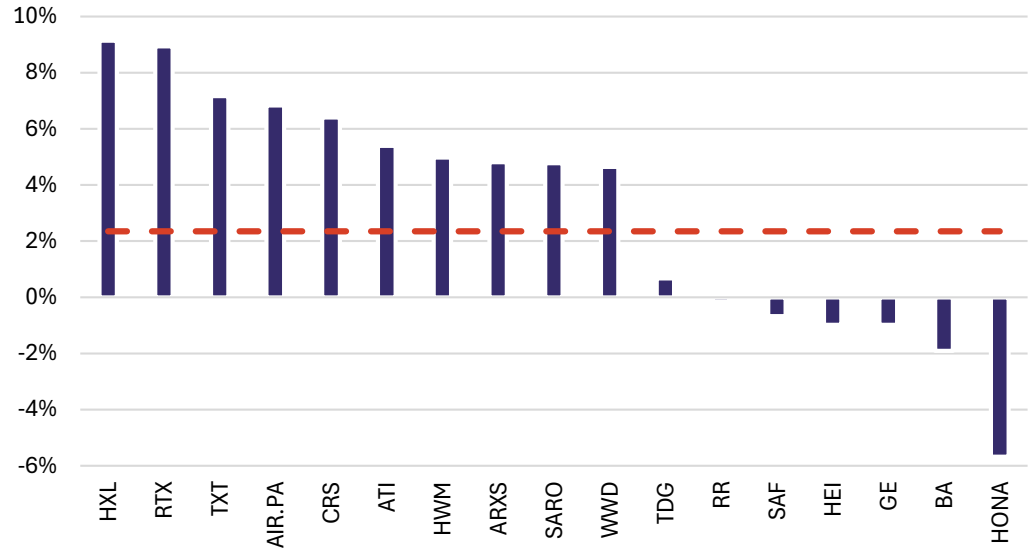
Financials

Company Name (Ticker)	Rating	Price 07/23/26	FY EPS 2026E Curr.	FY EPS 2026E Prior	FY EPS 2027E Curr.	FY EPS 2027E Prior	FY P/E 2026	FY P/E 2027	Price Target To	Price Target From	Upside PT	Downside PT
Aerospace & Defense												
Airbus SE (AIR-FR)	EW	€204.50	€7.83	NC	€9.16	NC	26.1x	22.3x	€175.00	NC	€200.00	€155.00
Arxis, Inc. (ARXS)	OW	$42.65	$0.70	NC	$0.87	NC	60.5x	48.8x	$52.00	NC	$60.00	$43.00
ATI Inc. (ATI)	OW	$199.84	$4.55	NC	$5.55	NC	43.9x	36.0x	$175.00	NC	$200.00	$130.00
BWX Technologies, Inc. (BWXT)	UW	$176.67	$4.80	NC	$5.30	NC	36.8x	33.3x	$200.00	NC	$230.00	$170.00
Carpenter Technology Corporation (CRS)	EW	$601.54	$10.70	NC	$13.20	NC	56.2x	45.6x	$425.00	NC	$480.00	$365.00
GE Aerospace (GE)	OW	$349.00	$8.15	NC	$10.00	NC	42.8x	34.9x	$390.00	NC	$475.00	$300.00
General Dynamics Corporation (GD)	OW	$381.79	$16.80	NC	$18.00	NC	22.7x	21.2x	$400.00	NC	$460.00	$330.00
HEICO Corporation (HEI)	EW	$340.54	$6.40	NC	$7.45	NC	53.2x	45.7x	$350.00	NC	$400.00	$300.00
Hexcel Corporation (HXL)	OW	$109.89	$2.30	NC	$3.00	NC	47.8x	36.6x	$95.00	NC	$110.00	$75.00
Honeywell Aerospace Inc. (HONA)	EW	$195.87	$9.75	NC	$10.71	NC	20.1x	18.3x	$250.00	NC	$280.00	$200.00
Howmet Aerospace Inc. (HWM)	EW	$287.09	$5.25	NC	$6.55	NC	54.7x	43.8x	$280.00	NC	$310.00	$245.00
Huntington Ingalls Industries, Inc. (HII)	EW	$287.09	$17.75	NC	$20.50	NC	16.2x	14.0x	$325.00	NC	$350.00	$280.00
Lockheed Martin Corporation (LMT)	EW	$568.59	$30.80	$30.00	$33.60	$32.50	18.5x	16.9x	$600.00	$575.00	$675.00	$525.00
Northrop Grumman Corporation (NOC)	OW	$533.48	$29.00	$27.90	$29.50	NC	18.4x	18.1x	$620.00	NC	$750.00	$470.00
Rolls-Royce Holdings plc (RR-GB)	OW	£13.59	£0.42	NC	£0.52	NC	32.6x	25.9x	£13.50	NC	£15.50	£11.00
RTX Corporation (RTX)	EW	$209.16	$7.35	NC	$8.15	NC	28.5x	25.7x	$230.00	NC	$260.00	$200.00
Safran SA (SAF-FR)	OW	€321.40	€10.25	NC	€13.25	NC	31.4x	24.2x	€325.00	NC	€375.00	€270.00
StandardAero Inc. (SARO)	OW	$28.26	$1.45	NC	$1.75	NC	19.5x	16.1x	$32.00	NC	$37.00	$22.00
Textron Inc. (TXT)	EW	$93.19	$6.60	NC	$7.25	NC	14.1x	12.8x	$92.00	NC	$105.00	$75.00
The Boeing Company (BA)	OW	$209.23	$0.50	NC	$6.49	NC	NM	32.3x	$250.00	NC	$285.00	$185.00
TransDigm Group Incorporated (TDG)	EW	$1,213.83	$40.60	NC	$49.15	NC	29.9x	24.7x	$1,200.00	NC	$1,350.00	$1,050.00
Woodward, Inc. (WWD)	OW	$411.94	$9.60	NC	$11.40	NC	42.9x	36.1x	$440.00	NC	$510.00	$335.00
Government Services												
Booz Allen Hamilton Holding Corporation (BAH)	EW	$65.87	$6.52A	NC	$6.30	NC	10.1x	10.5x	$80.00	NC	$100.00	$60.00
CACI International Inc (CACI)	OW	$480.61	$28.50	NC	$31.00	NC	16.9x	15.5x	$580.00	NC	$700.00	$460.00
Leidos Holdings, Inc. (LDOS)	EW	$110.33	$12.35	NC	$12.95	NC	8.9x	8.5x	$120.00	NC	$140.00	$100.00
Space												
Voyager Technologies Inc. (VOYG)	UW	$26.38	$(2.90)	NC	$(1.36)	NC	NM	NM	$21.00	NC	$25.00	$15.00
York Space Systems Inc. (YSS)*	OW	$17.62	$570.0	NC	$842.3	NC	3.0x	2.0x	$35.00	NC	$48.00	$22.00

** For YSS estimates represent Rev. (MM), valuation multiple EV/Revenue*
TDG EPS:
Source: Company data and Wells Fargo Securities, LLC estimates, and Factset.
OW = Overweight, EW = Equal Weight, UW = Underweight, NR = Not Rated
NA = Not Available, NC = No Change, NE = No Estimate, NM = Not Meaningful

Earnings

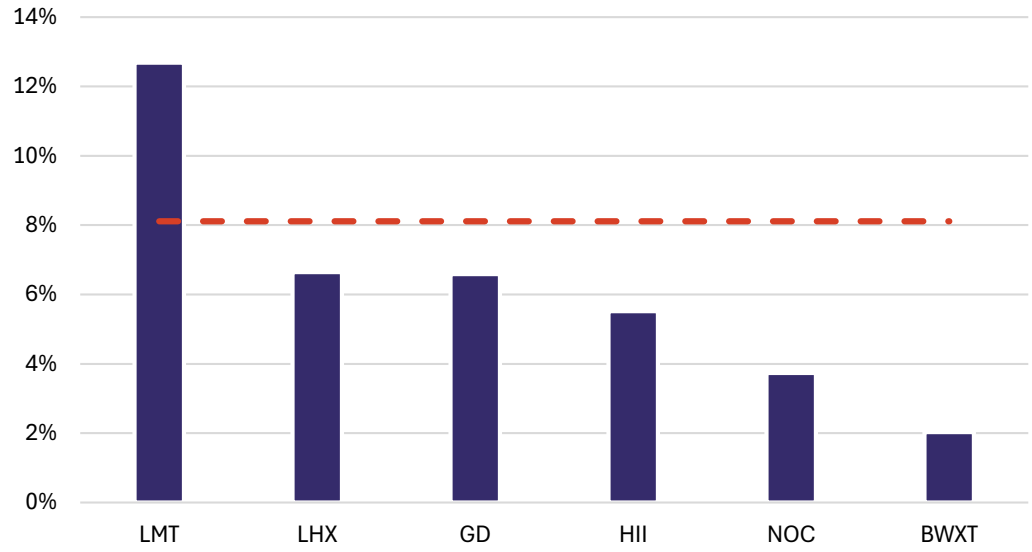
Exhibit 1 - Aerospace Relative Performance (vs S&P 500) Since Start of Q1 Earnings



Source: Bloomberg

Relative performance during 7/15/26-7/23/26.

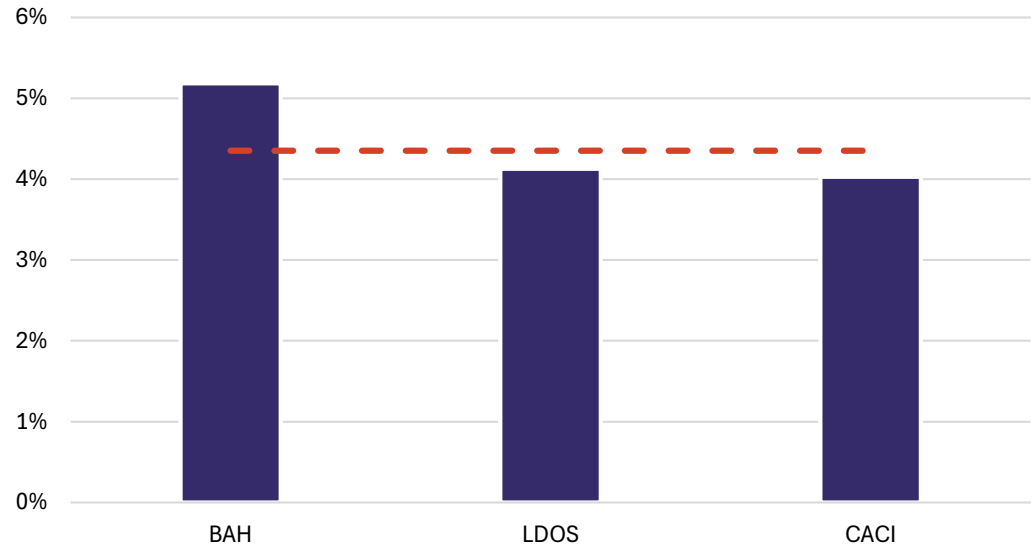
Exhibit 2 - Defense Relative Performance (vs S&P 500) Since Start of Q1 Earnings



Source: Bloomberg

Relative performance during 7/15/26-7/23/26.

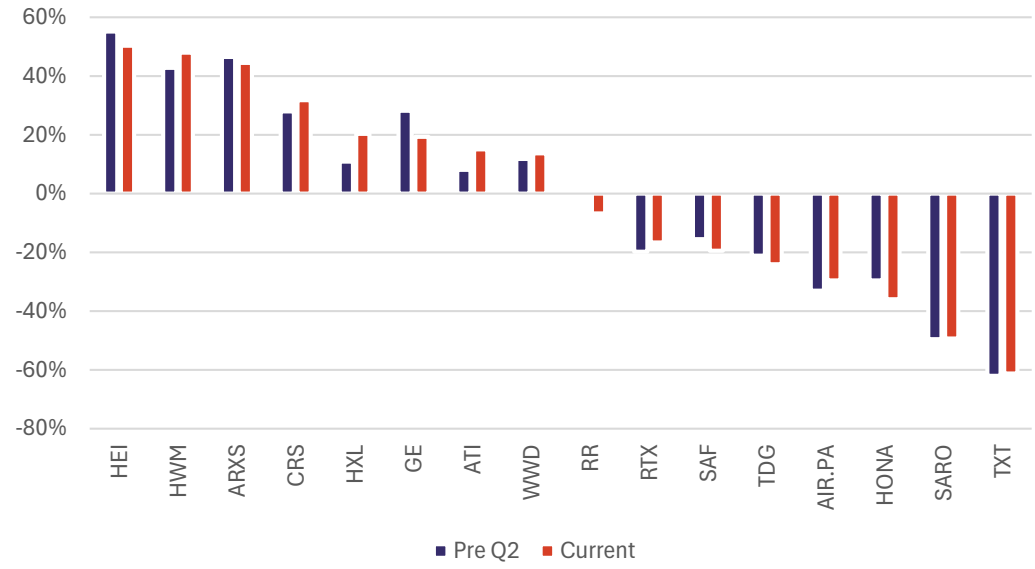
Exhibit 3 - Government Services Relative Performance (vs S&P 500) Since Start of Q1 Earnings



Source: Bloomberg

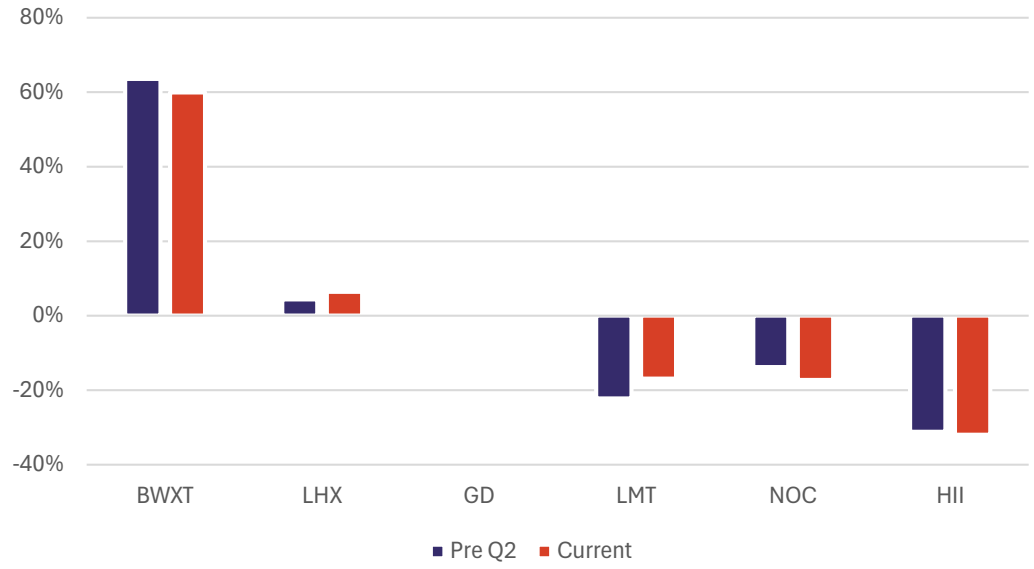
Relative performance during 7/15/26-7/23/26.

Exhibit 4 - Aerospace Relative Valuation (vs Aero Avg) Before vs During Q2 Earnings



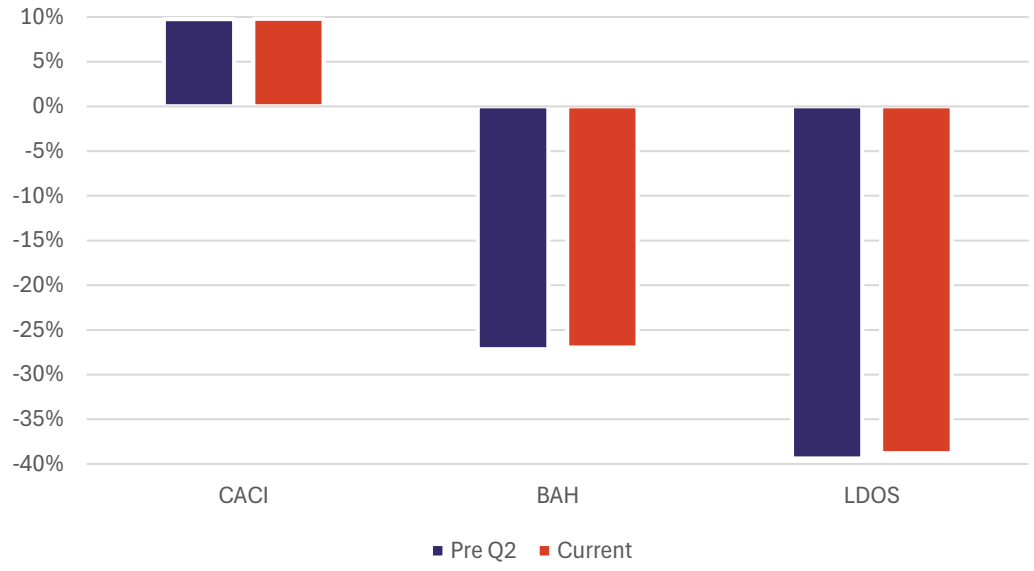
Source: Bloomberg

Exhibit 5 - Defense Relative Valuation (vs Defense Avg) Before vs During Q2 Earnings



Source: Bloomberg

Exhibit 6 - Government Services Relative Valuation (vs Gov Services Avg) Before vs During Q2 Earnings



Source: Bloomberg

Exhibit 7 - Q2 OE vs Aftermarket Growth

	OE	AM
GE	27%	26%
Honeywell Aerospace	17%	7%
Collins Aerospace Systems	26%	10%
Pratt & Whitney	-8%	25%
Average	**15%**	**17%**

Source: Company Reports

Exhibit 8 - Company Rating and Price Target - Aerospace

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
HONA	EW	62.1	$196	$250	28%
ARXS	OW	17.5	$43	$52	22%
BA	OW	164.9	$209	$250	19%
SARO	OW	9.4	$28	$32	13%
GE	OW	362.1	$349	$390	12%
RTX	EW	281.9	$209	$230	10%
WWD	OW	24.5	$412	$440	7%
HEI	EW	39.8	$341	$350	3%
SAF	OW	134.5	€ 321	€ 325	1%
RR.L	OW	113.3	£13.6	£13.5	-1%
TDG	EW	67.9	$1,214	$1,200	-1%
TXT	EW	16.2	$93	$92	-1%
HWM	EW	114.9	$287	$280	-2%
ATI	OW	27.3	$200	$175	-12%
HXL	OW	8.3	$110	$95	-14%
AIR.PA	EW	162.0	€ 205	€ 175	-14%
CRS	EW	29.9	$602	$425	-29%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 7/23/26

Exhibit 9 - Company Rating and Price Target - Defense

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
NOC	OW	75.8	$533	$620	16%
BWXT	UW	16.2	$177	$200	13%
HII	EW	11.3	$287	$325	13%
LMT	EW	131.2	$569	$600	6%
GD	OW	103.2	$382	$400	5%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 7/23/26

Exhibit 10 - Company Rating and Price Target - Government Services

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
BAH	EW	7.9	$66	$80	21%
CACI	OW	10.6	$481	$580	21%
LDOS	EW	13.9	$110	$120	9%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 7/23/26

Exhibit 11 - Company Rating and Price Target - Space

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
YSS	OW	2.3	$18	$35	99%
VOYG	UW	1.6	$26	$21	-20%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 7/23/26

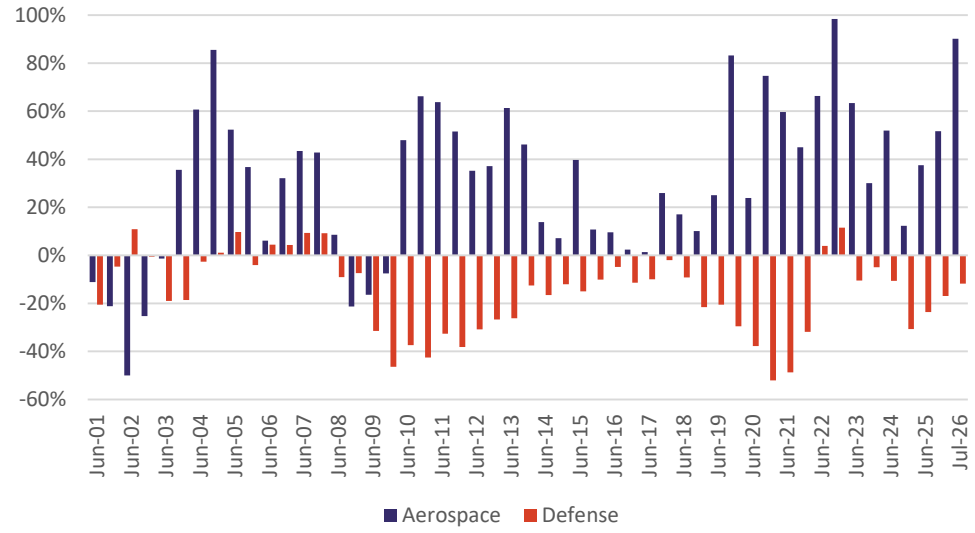
Exhibit 12 - Coverage Comp Table

Company	Ticker	Rating	Price Target	Share Price	Market Cap ($B)	Net Debt ($B)	EV ($B)	Net Debt to EBITDA	P/E FY26E	P/E FY27E	EV/EBITDA FY26E	EV/EBITDA FY27E	FCF Yield FY26E	FCF Yield FY27E	Dividend Yield
Aero															
Arxis Group	ARXS	OW	$52	$43	17.5	2.4	19.9	3.3x	n/a	48.8x	27.2x	24.2x	2.4%	2.8%	0.0%
ATI Inc	ATI	OW	$175	$200	27.3	1.4	28.8	1.4x	43.9x	36.0x	27.4x	23.8x	1.9%	2.3%	0.0%
Boeing Co	BA	OW	$250	$209	164.9	26.3	197.0	4.9x	n/a	32.3x	36.9x	17.3x	1.5%	3.9%	0.0%
Carpenter Technology	CRS	EW	$425	$602	29.9	0.4	30.3	0.5x	56.2x	45.6x	35.5x	29.6x	1.3%	1.5%	0.1%
General Electric Co	GE	OW	$390	$349	362.1	9.8	410.1	0.8x	42.8x	34.9x	34.4x	29.2x	2.6%	3.0%	0.5%
HEICO Corp	HEI	EW	$350	$341	39.8	2.4	42.8	1.6x	53.2x	45.7x	28.0x	24.6x	2.6%	3.2%	0.1%
Honeywell Aerospace Inc	HONA	EW	$250	$196	62.1	14.8	76.9	2.8x	20.1x	18.3x	14.6x	13.5x	4.3%	4.9%	0.0%
Howmet Aerospace	HWM	EW	$280	$287	114.9	2.3	117.3	0.7x	54.7x	43.8x	36.5x	30.3x	1.7%	2.1%	0.2%
Hexcel Corp	HXL	OW	$95	$110	8.3	0.9	9.2	2.4x	47.8x	36.6x	23.6x	20.4x	2.6%	3.5%	0.6%
RTX Corp	RTX	EW	$230	$209	281.9	29.1	314.2	1.9x	28.5x	25.7x	20.2x	18.3x	3.2%	3.9%	1.3%
StandardAero Inc	SARO	OW	$32	$28	9.4	2.1	11.8	2.4x	19.5x	16.1x	13.2x	11.5x	3.2%	5.2%	0.0%
TransDigm Group	TDG	EW	$1,200	$1,214	67.9	28.1	96.0	5.1x	29.9x	24.7x	17.5x	15.4x	3.4%	4.1%	7.4%
Textron	TXT	EW	$92	$93	16.2	2.0	19.7	1.1x	14.1x	12.8x	11.5x	10.8x	5.0%	5.0%	0.1%
Woodward	WWD	OW	$440	$412	24.5	0.6	25.2	0.7x	42.9x	36.1x	27.4x	23.6x	1.5%	2.3%	0.3%
Average								**2.1x**	**37.8x**	**32.7x**	**25.3x**	**20.9x**	**2.6%**	**3.4%**	**0.8%**
Defense															
BWX Technologies	BWXT	UW	$200	$177	16.2	2.0	17.7	3.1x	36.8x	33.3x	26.8x	24.4x	2.1%	2.6%	0.6%
General Dynamics Corp	GD	OW	$400	$382	103.2	4.4	107.6	0.6x	22.7x	21.2x	15.8x	14.9x	4.7%	4.6%	1.6%
HII Inc	HII	EW	$325	$287	11.3	2.5	14.0	2.3x	16.2x	14.0x	13.1x	11.7x	4.9%	5.3%	1.9%
Lockheed Martin Corp	LMT	EW	$600	$569	131.2	16.7	148.0	1.7x	18.5x	16.9x	15.2x	14.0x	5.4%	5.5%	2.4%
Northrop Grumman	NOC	OW	$620	$533	75.8	12.9	90.5	2.1x	18.4x	18.1x	14.5x	13.7x	4.4%	4.6%	1.8%
Average								**2.0x**	**22.5x**	**20.7x**	**17.1x**	**15.7x**	**4.3%**	**4.5%**	**1.9%**
Europe A&D															
Airbus Group NV	AIR.PA	EW	€ 175	€ 205	162.0	(10.7)	148.8	-1.0x	26.1x	22.3x	13.6x	11.7x	3.0%	3.5%	1.6%
Rolls-Royce PLC	RR.L	OW	£13.50	£14	113.3	(2.0)	111.4	-0.4x	32.6x	25.9x	21.3x	17.7x	3.5%	4.4%	0.7%
Safran SA	SAF	OW	€ 325	€ 321	134.5	(1.7)	133.4	-0.2x	31.4x	24.2x	16.1x	14.3x	3.5%	4.3%	1.0%
Average								**-0.5x**	**30.0x**	**24.2x**	**17.0x**	**14.6x**	**3.3%**	**4.1%**	**1.1%**
Government Services															
Booz Allen Hamilton	BAH	EW	$80	$66	7.9	3.1	11.3	2.5x	10.1x	10.5x	9.2x	9.1x	12.1%	11.0%	3.5%
CACI International Inc	CACI	OW	$580	$481	10.6	5.0	16.1	4.4x	16.9x	15.5x	14.0x	12.4x	6.7%	8.1%	0.0%
Leidos Inc	LDOS	EW	$120	$110	13.9	5.9	20.4	2.4x	8.9x	8.5x	8.2x	7.9x	11.9%	11.7%	1.5%
Average								**3.1x**	**12.0x**	**11.5x**	**10.5x**	**9.8x**	**10.2%**	**10.2%**	**1.7%**
Space															
Voyager Technologies Inc	VOYG	UW	$21	$26	1.6	0.5	1.7	-3.3x	n/a	n/a	n/a	n/a	-15.3%	-9.6%	0.0%
York Space Systems	YSS	OW	$35	$18	2.3	(0.6)	1.7	-17.2x	n/a	39.3x	50.0x	13.1x	0.3%	4.1%	0.0%
Average								**-10.3x**	**n/a**	**39.3x**	**50.0x**	**13.1x**	**-7.5%**	**-2.7%**	**0.0%**

Source: Bloomberg and Wells Fargo Securities, LLC estimates

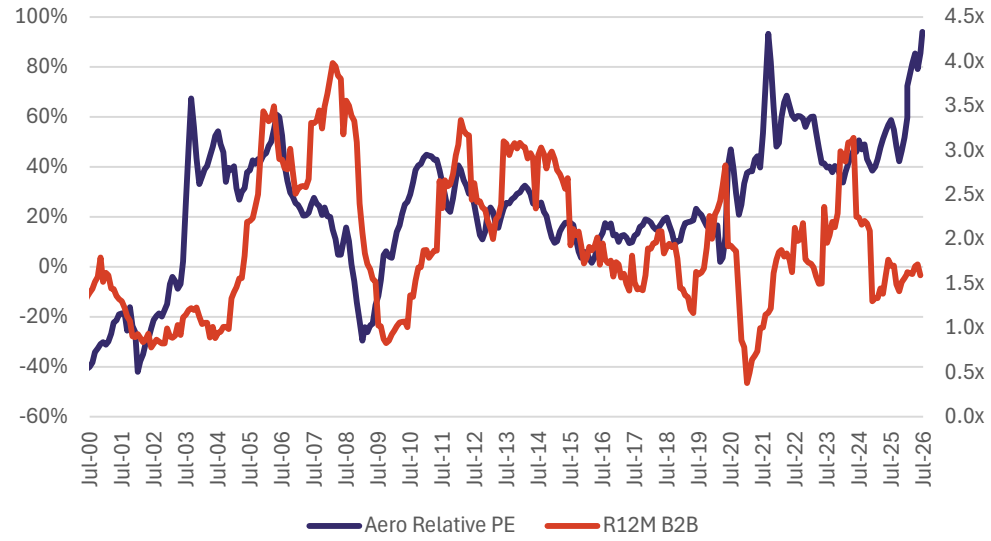
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Exhibit 13 - Aerospace & Defense Relative Valuation (T12M P/E)



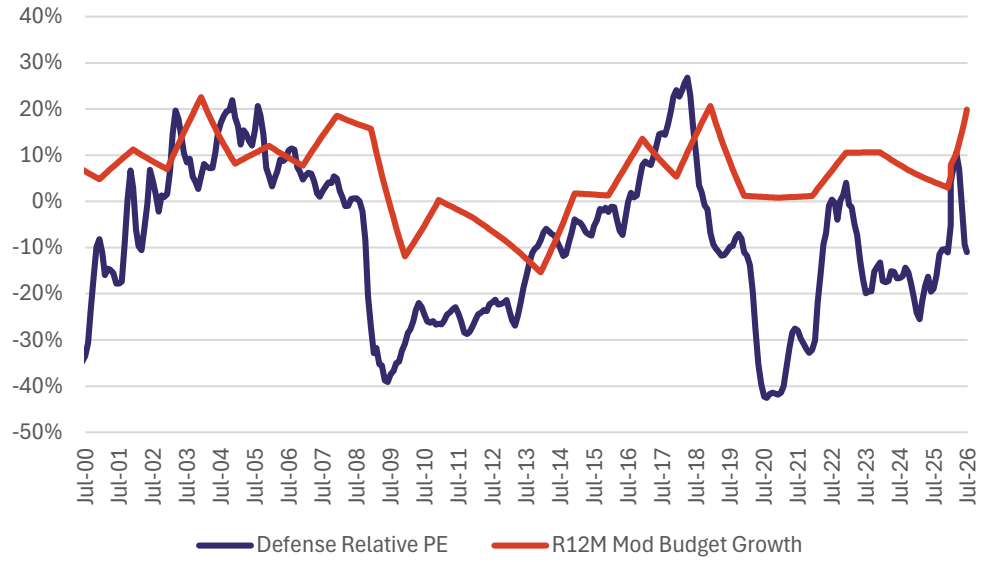
Source: Bloomberg

Exhibit 14 - Aero Relative P/E Multiple vs Book to Bill



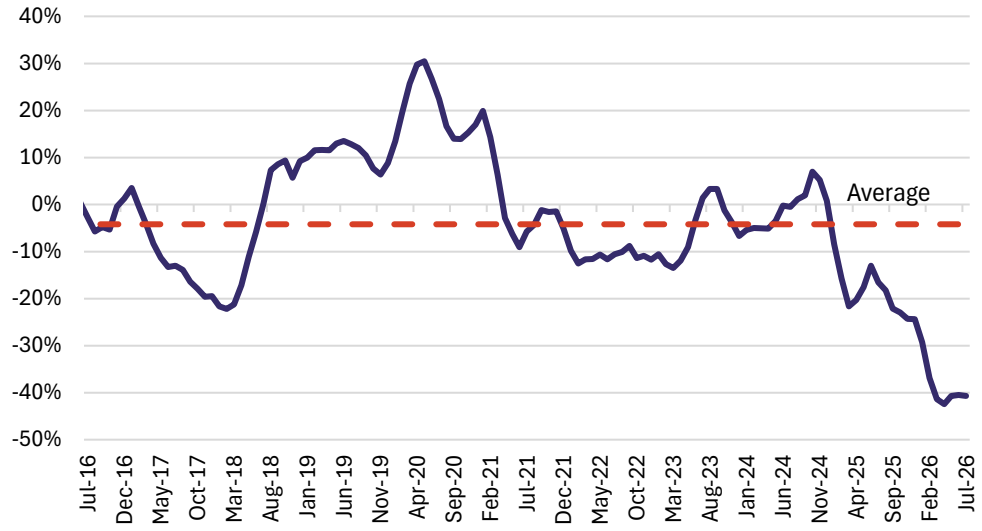
Source: Bloomberg, Company Reports, and Wells Fargo Securities, LLC

Exhibit 15 - Defense Relative P/E Multiple vs Modernization Budget Growth



Source: Bloomberg, DoD, and Wells Fargo Securities, LLC

Exhibit 16 - Government Services Relative P/E Multiple vs Defense



Source: Bloomberg

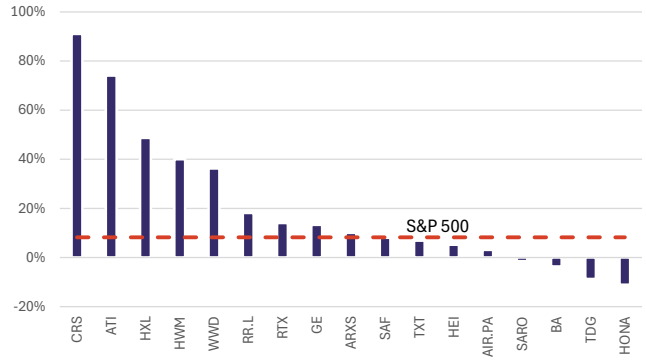
Government services includes BAH/CACI/LDOS/SAIC, defense includes GD/HII/LHX/LMT/NOC.

Exhibit 17 - Absolute and Relative Performance

		Absolute Performance				Relative Performance			
Company	**Ticker**	**5D**	**1M**	**3M**	**YTD**	**5D**	**1M**	**3M**	**YTD**
Aerospace OEMs									
Boeing Co	BA	-2%	-3%	-11%	-4%	-2%	-4%	-15%	-12%
Bombardier Inc	BBD	7%	14%	47%	55%	7%	13%	43%	47%
Embraer SA	ERJ	2%	7%	4%	2%	3%	7%	0%	-7%
Textron Inc	TXT	2%	8%	3%	7%	3%	7%	-1%	-1%
Weighted Average		-1%	0%	-2%	4%	0%	-1%	-6%	-4%
Aerospace Suppliers									
Arxis Group	ARXS	2%	-6%	14%	10%	3%	-7%	10%	2%
ATI Inc	ATI	7%	0%	30%	74%	8%	0%	26%	66%
Carpenter Technology Corp	CRS	8%	4%	41%	91%	9%	3%	37%	83%
General Electric	GE	0%	-2%	24%	13%	1%	-3%	19%	5%
HEICO Corp	HEI	-1%	2%	27%	5%	0%	1%	22%	-3%
Hexcel Corp	HXL	6%	14%	20%	49%	7%	14%	16%	40%
Honeywell Aerospace Inc	HONA	-7%	-20%	n/a	-11%	-7%	-21%	n/a	-19%
Howmet Aerospace Inc.	HWM	5%	4%	17%	40%	6%	4%	12%	32%
Raytheon Technologies Corporation	RTX	8%	12%	17%	14%	9%	12%	12%	6%
StandardAero, Inc.	SARO	6%	5%	16%	-1%	6%	5%	12%	-10%
TransDigm Group Inc	TDG	0%	-6%	4%	-9%	1%	-7%	0%	-17%
Woodward Inc	WWD	5%	-4%	12%	36%	6%	-4%	8%	28%
Weighted Average		3%	2%	19%	18%	4%	1%	15%	10%
Defense									
BWXT Technologies Inc	BWXT	3%	-16%	-22%	2%	4%	-16%	-26%	-6%
Curtiss-Wright Corp	CW	6%	-2%	3%	36%	7%	-3%	-1%	28%
Leonardo DRS Inc	DRS	9%	5%	16%	41%	10%	5%	12%	33%
General Dynamics Corp	GD	4%	9%	20%	13%	4%	8%	16%	5%
Karman Holdings	KRMN	8%	7%	-35%	-32%	8%	7%	-39%	-40%
L3Harris Technologies Inc	LHX	6%	2%	-9%	2%	7%	1%	-13%	-6%
HII Inc	HII	7%	1%	-22%	-16%	7%	1%	-27%	-24%
Lockheed Martin Corp	LMT	12%	13%	7%	18%	12%	12%	3%	9%
Mercury Systems Inc	MRCY	11%	-4%	35%	46%	11%	-5%	31%	37%
Northrop Grumman Corp	NOC	2%	4%	-9%	-6%	3%	3%	-13%	-15%
Weighted Average		7%	6%	3%	11%	7%	6%	-1%	2%
Europe A&D									
Airbus Group NV	AIR.PA	5%	6%	22%	3%	6%	6%	16%	-4%
BAE Systems	BAES.L	5%	8%	-6%	15%	4%	6%	-7%	8%
Melrose Industries PLC	MRON.L	2%	0%	-7%	-19%	1%	-2%	-9%	-27%
MTU Aero Engines AG	MTX	-1%	0%	12%	-5%	-1%	0%	9%	-6%
Rheinmetall	RHM	4%	-13%	-27%	-35%	5%	-12%	-30%	-36%
Rolls-Royce PLC	RR.L	0%	-2%	17%	18%	-1%	-4%	15%	11%
Safran SA	SAF	-2%	-3%	15%	8%	-2%	-3%	10%	1%
Weighted Average		2%	0%	11%	5%	2%	0%	7%	-1%
Space									
Firefly Aerospace, Inc.	FLY	7%	-24%	-46%	-7%	8%	-25%	-51%	-16%
MDA Ltd.	MDA	3%	-21%	-3%	63%	3%	-21%	-8%	55%
Rocket Lab Corp	RKLB	4%	-26%	-17%	0%	4%	-27%	-21%	-8%
Intuitive Machines	LUNR	1%	-35%	-50%	-16%	2%	-35%	-54%	-24%
Voyager Technologies Inc.	VOYG	2%	-21%	-12%	1%	3%	-22%	-17%	-7%
York Space Systems	YSS	-2%	-38%	-51%	-48%	-1%	-39%	-55%	-56%
Weighted Average		4%	-26%	-19%	5%	4%	-27%	-24%	-4%
Government & Engineering Services									
Booz Allen Hamilton	BAH	1%	3%	-17%	-22%	2%	3%	-21%	-30%
CACI International Inc	CACI	4%	3%	-9%	-10%	5%	2%	-13%	-18%
Leidos Holdings Inc	LDOS	4%	4%	-25%	-39%	4%	3%	-29%	-47%
Parsons Corp.	PSN	4%	19%	13%	-5%	5%	18%	9%	-14%
Science Applications Int.	SAIC	1%	11%	22%	16%	2%	10%	18%	8%
Weighted Average		3%	6%	-9%	-18%	4%	6%	-13%	-26%

Source: Bloomberg

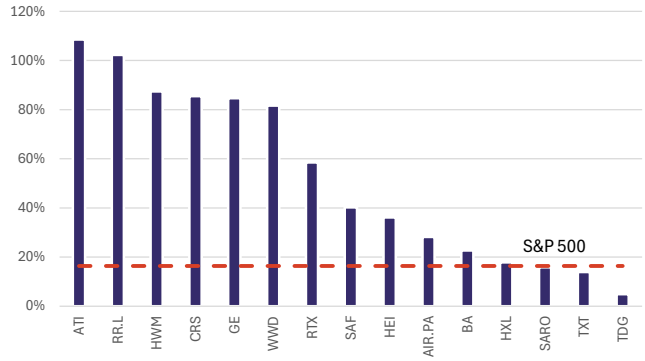
Exhibit 18 - YTD Absolute Performance - Aerospace



Source: Bloomberg

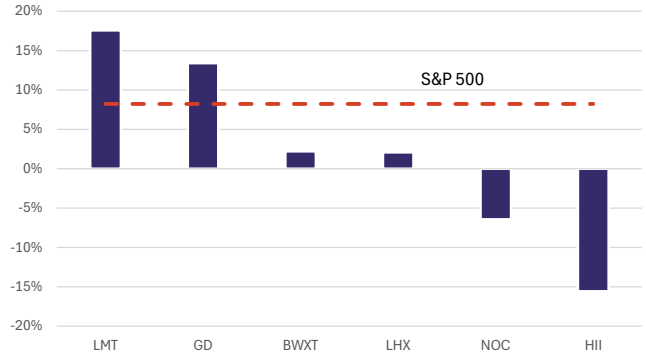
2026 YTD through 7/23/26

Exhibit 19 - 2025 Absolute Performance - Aerospace



Source: Bloomberg

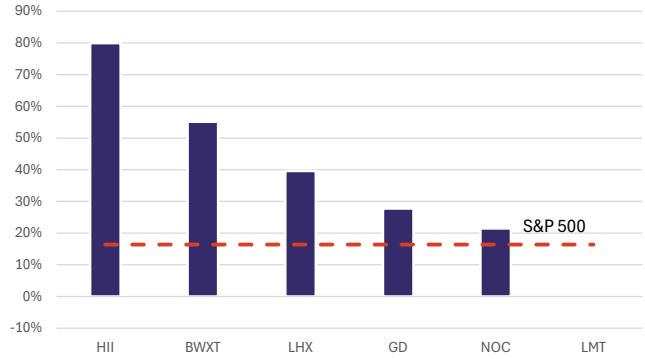
Exhibit 20 - YTD Absolute Performance - Defense



Source: Bloomberg

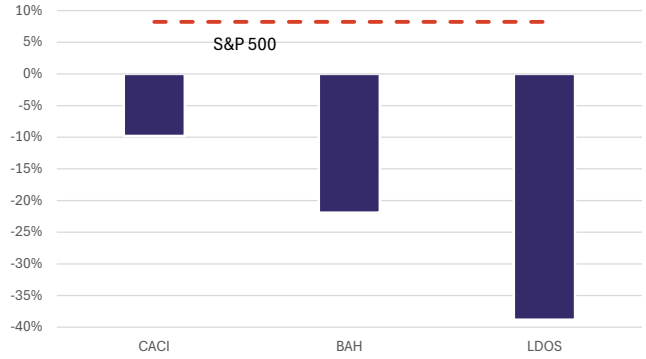
2026 YTD through 7/23/26

Exhibit 21 - 2025 Absolute Performance - Defense



Source: Bloomberg

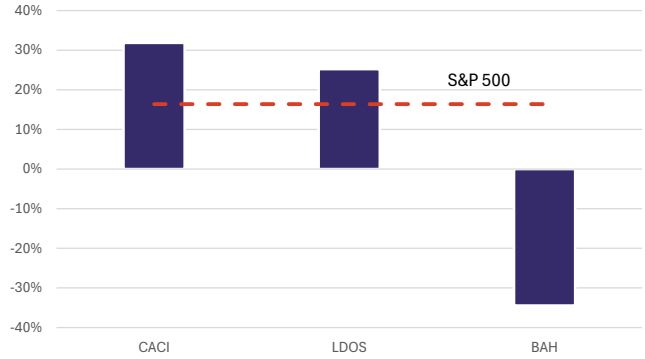
Exhibit 22 - YTD Absolute Performance - Government Services



Source: Bloomberg

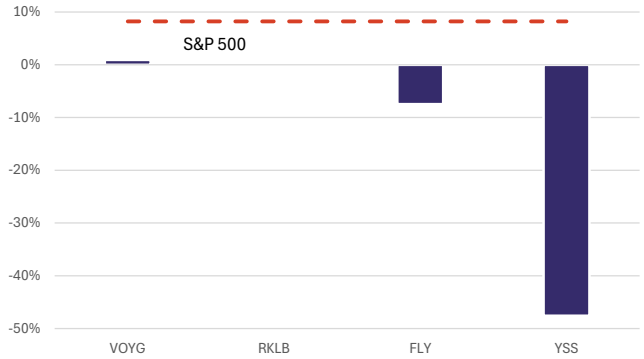
2026 YTD through 7/23/26

Exhibit 23 - 2025 Absolute Performance - Government Services



Source: Bloomberg

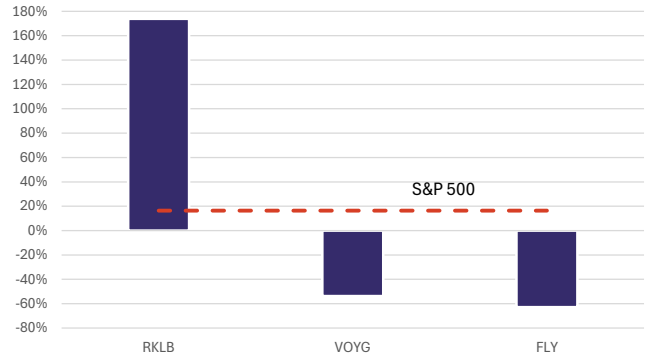
Exhibit 24 - YTD Absolute Performance - Space



Source: Bloomberg

2026 YTD through 7/23/26

Exhibit 25 - 2025 Absolute Performance - Space



Source: Bloomberg

Exhibit 26 - Total Return Heat Map

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
AIR.PA	53%	4%	35%	3%	58%	-31%	25%	0%	28%	13%	31%	5%
ARXS	na	na	na	na	na	na	na	na	na	na	na	10%
ATI	-67%	44%	52%	-10%	-5%	-19%	-5%	87%	52%	21%	109%	74%
BA	14%	11%	95%	12%	3%	-34%	-6%	-5%	37%	-32%	23%	-4%
BAH	19%	19%	8%	20%	60%	24%	-1%	26%	24%	2%	-33%	-21%
BWXT	48%	26%	54%	-36%	64%	-2%	-19%	23%	34%	47%	56%	2%
CACI	8%	34%	6%	9%	74%	0%	8%	12%	8%	25%	32%	-10%
CRS	-37%	22%	43%	-29%	42%	-39%	3%	30%	95%	142%	86%	91%
FLY	na	na	na	na	na	na	na	na	na	na	na	-7%
GD	2%	28%	20%	-21%	15%	-13%	44%	22%	7%	4%	30%	15%
GE	na	na	na	na	na	na	na	na	na	32%	86%	14%
HEI	-10%	42%	53%	29%	48%	16%	9%	7%	17%	33%	36%	5%
HII	14%	47%	29%	-18%	34%	-30%	12%	26%	15%	-26%	84%	-15%
HONA	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	-11%
HWM	n/a	n/a	n/a	n/a	n/a	15%	12%	24%	38%	103%	88%	40%
HXL	13%	12%	21%	-6%	29%	-34%	7%	14%	26%	-14%	19%	49%
LDOS	34%	27%	29%	-17%	89%	9%	-14%	20%	5%	35%	27%	-38%
LHX	n/a	n/a	n/a	n/a	49%	-3%	15%	0%	4%	2%	42%	3%
LMT	16%	18%	32%	-16%	53%	-6%	3%	40%	-4%	10%	2%	19%
NOC	30%	25%	34%	-19%	43%	-10%	29%	43%	-13%	2%	24%	-6%
RKLB	n/a	n/a	n/a	n/a	n/a	n/a	21%	-69%	47%	361%	174%	0%
RR	-32%	18%	29%	-1%	-17%	-53%	10%	-24%	222%	90%	105%	19%
RTX	na	na	na	na	na	-51%	23%	20%	-14%	41%	61%	15%
SAF.PA	26%	10%	27%	25%	33%	-16%	-7%	9%	38%	34%	42%	9%
SARO	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	16%	-1%
TDG	16%	19%	20%	24%	84%	11%	3%	2%	67%	32%	12%	-9%
TXT	0%	16%	17%	-19%	-3%	9%	60%	-8%	14%	-5%	14%	7%
VOYG	na	na	na	na	na	na	na	na	na	na	na	1%
WWD	2%	40%	12%	-2%	60%	3%	-9%	-11%	42%	23%	83%	36%
YSS	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	-48%

Source: Bloomberg

2026 YTD through 7/23/26

Exhibit 27 - Consensus 2026 EPS Estimate Revisions Over Time

							% Increase/(Decrease) in Current Estimate Since				
	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk	7/23	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk
Aero											
ARXS	n/a	n/a	n/a	$0.58	$0.58	$0.58	n/a	n/a	n/a	1%	0%
ATI	$3.84	$3.71	$4.20	$4.42	$4.45	$4.45	16%	20%	6%	1%	0%
BA	$8.42	$3.60	-$0.15	-$0.37	-$0.41	-$0.30	-104%	-108%	98%	-19%	-26%
CRS	$5.98	$9.02	$10.27	$10.59	$10.59	$10.59	77%	17%	3%	0%	0%
GE	$6.12	$6.73	$7.54	$7.55	$7.71	$7.90	29%	17%	5%	5%	2%
HEI	$4.88	$5.20	$5.64	$6.03	$6.10	$6.10	25%	17%	8%	1%	0%
HONA	n/a	n/a	n/a	n/a	$8.77	$8.68	n/a	n/a	n/a	n/a	-1%
HWM	$3.31	$4.17	$4.64	$5.06	$5.06	$5.06	53%	21%	9%	0%	0%
HXL	$3.44	$2.53	$2.24	$2.29	$2.28	$2.28	-34%	-10%	2%	0%	0%
RTX	$6.84	$6.66	$6.88	$6.92	$6.93	$6.97	2%	5%	1%	1%	1%
SARO	n/a	$1.18	$1.25	$1.45	$1.41	$1.41	n/a	19%	12%	-3%	0%
TDG	$44.10	$43.46	$38.96	$39.99	$40.01	$40.01	-9%	-8%	3%	0%	0%
TXT	$7.63	$6.92	$6.48	$6.46	$6.45	$6.45	-15%	-7%	0%	0%	0%
WWD	$7.35	$7.62	$8.76	$9.33	$9.34	$9.34	27%	23%	7%	0%	0%
Median							16%	17%	5%	0%	0%
Defense											
BWXT	$3.93	$3.97	$4.62	$4.66	$4.66	$4.66	19%	17%	1%	0%	0%
GD	$17.68	$16.84	$16.27	$16.64	$16.68	$16.71	-5%	-1%	3%	0%	0%
HII	$20.49	$16.17	$17.24	$17.50	$17.45	$17.45	-15%	8%	1%	0%	0%
LMT	$29.86	$29.36	$29.94	$29.89	$29.88	$29.97	0%	2%	0%	0%	0%
NOC	$29.10	$28.82	$27.98	$27.98	$27.99	$28.70	-1%	0%	3%	3%	3%
Median							-1%	2%	1%	0%	0%
Europe A&D											
AIR.PA	€ 9.05	€ 7.86	€ 7.25	€ 7.29	€ 7.25	€ 7.28	-20%	-7%	0%	0%	0%
RR.L	£0.21	£0.28	£0.36	£0.37	£0.37	£0.37	75%	32%	3%	1%	0%
SAF	€ 9.85	€ 10.04	€ 10.00	€ 10.11	€ 10.07	€ 10.07	2%	0%	1%	0%	0%
Median							2%	0%	1%	0%	0%
Services											
BAH	$6.75	$6.41	$6.07	$6.08	$6.08	$6.08	-10%	-5%	0%	0%	0%
CACI	$25.82	$27.51	$28.33	$28.23	$28.21	$28.15	9%	2%	-1%	0%	0%
LDOS	$10.25	$11.64	$12.28	$12.34	$12.34	$12.34	20%	6%	1%	0%	0%
Median							9%	2%	0%	0%	0%
Space											
VOYG	n/a	-$0.93	-$2.46	-$3.02	-$3.05	-$3.05	n/a	227%	24%	1%	0%
YSS	n/a	n/a	-$0.06	-$0.76	-$0.85	-$0.85	n/a	n/a	1438%	11%	0%
Median							n/a	n/a	731%	6%	0%

Source: Bloomberg

Exhibit 28 - Consensus 2027 EPS Estimate Revisions Over Time

							% Increase/(Decrease) in Current Estimate Since				
	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk	7/23	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk
Aero											
ARXS	n/a	n/a	n/a	$0.85	$0.86	$0.86	n/a	n/a	n/a	1%	0%
ATI	$4.38	$4.25	$5.12	$5.39	$5.44	$5.44	24%	28%	6%	1%	0%
BA	$11.06	$6.58	$4.33	$4.24	$4.21	$4.26	-62%	-35%	-2%	0%	1%
CRS	$8.20	$10.97	$12.15	$12.61	$12.92	$12.92	58%	18%	6%	2%	0%
GE	$6.79	$7.73	$8.61	$8.64	$8.86	$9.08	34%	17%	5%	5%	2%
HEI	$5.48	$5.86	$6.31	$6.81	$6.92	$6.92	26%	18%	10%	2%	0%
HONA	n/a	n/a	n/a	n/a	$9.93	$9.84	n/a	n/a	n/a	n/a	-1%
HWM	$3.68	$4.86	$5.57	$6.03	$6.06	$6.06	65%	25%	9%	0%	0%
HXL	$3.85	$3.20	$3.17	$3.18	$3.19	$3.19	-17%	0%	1%	0%	0%
RTX	$7.14	$7.39	$7.56	$7.71	$7.68	$7.70	8%	4%	2%	0%	0%
SARO	n/a	$1.52	$1.55	$1.75	$1.71	$1.70	n/a	12%	9%	-3%	0%
TDG	$46.15	$49.77	$45.30	$46.94	$46.86	$46.86	2%	-6%	3%	0%	0%
TXT	$8.35	$7.64	$7.33	$7.27	$7.26	$7.26	-13%	-5%	-1%	0%	0%
WWD	$7.55	$8.90	$10.23	$10.56	$10.59	$10.59	40%	19%	3%	0%	0%
Median							24%	15%	4%	0%	0%
Defense											
BWXT	$4.37	$4.46	$5.19	$5.24	$5.24	$5.24	20%	18%	1%	0%	0%
GD	$19.13	$18.35	$17.96	$18.18	$18.27	$18.28	-4%	0%	2%	1%	0%
HII	$23.17	$18.25	$20.20	$20.23	$20.23	$19.88	-14%	9%	-2%	-2%	-2%
LMT	$31.62	$31.64	$32.03	$32.09	$32.09	$32.17	2%	2%	0%	0%	0%
NOC	$31.29	$31.33	$30.15	$30.13	$30.16	$30.29	-3%	-3%	0%	1%	0%
Median							-3%	2%	0%	0%	0%
Europe A&D											
AIR.PA	€ 10.59	€ 9.26	€ 8.59	€ 8.57	€ 8.60	€ 8.53	-19%	-8%	-1%	0%	-1%
RR.L	£0.25	£0.33	£0.42	£0.44	£0.45	£0.45	82%	37%	6%	2%	0%
SAF	€ 10.71	€ 11.41	€ 12.28	€ 12.27	€ 12.38	€ 12.38	16%	9%	1%	1%	0%
Median							16%	9%	1%	1%	0%
Services											
BAH	$7.39	$7.05	$6.25	$6.27	$6.28	$6.24	-16%	-12%	0%	-1%	-1%
CACI	$28.53	$30.12	$31.78	$31.40	$31.37	$30.96	9%	3%	-3%	-1%	-1%
LDOS	$3.85	$12.47	$13.03	$13.14	$13.08	$13.08	240%	5%	0%	0%	0%
Median							9%	3%	0%	-1%	-1%
Space											
VOYG	n/a	-$0.77	-$0.98	-$1.45	-$1.43	-$1.43	n/a	86%	47%	-1%	0%
YSS	n/a	n/a	$0.57	$0.58	$0.56	$0.56	n/a	n/a	-2%	-4%	0%
Median							n/a	n/a	22%	-2%	0%

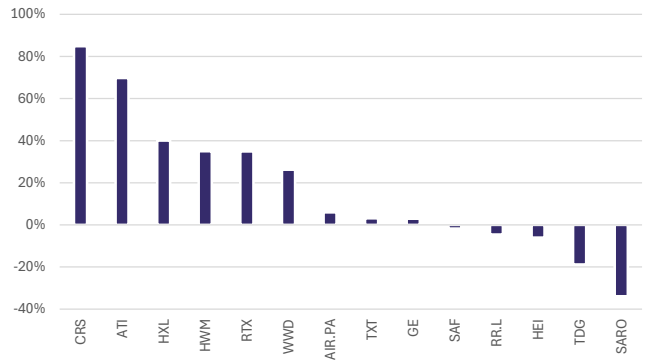
Source: Bloomberg

Exhibit 29 - Valuation vs Historical (P/E)

Company	Ticker	Current	Absolute			Current	Relative to S&P		
			3YR Avg	5YR Avg	10YR Avg		3YR Avg	5YR Avg	10YR Avg
Aero									
Airbus Group NV	AIR.PA	24.8x	23x	23x	24x	21%	8%	10%	21%
ATI Inc	ATI	40.5x	24x	24x	36x	97%	10%	15%	80%
Boeing Co	BA	131.4x	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Carpenter Technology	CRS	46.4x	25x	26x	22x	126%	16%	26%	10%
General Electric Co	GE	41.9x	41x	30x	22x	104%	88%	n/a	n/a
HEICO Corp	HEI	52.9x	56x	55x	50x	157%	160%	166%	151%
Howmet Aerospace	HWM	52.1x	39x	33x	25x	153%	78%	59%	28%
Hexcel Corp	HXL	42.4x	30x	36x	39x	106%	40%	76%	99%
Rolls-Royce PLC	RR.L	32.8x	34x	37x	51x	60%	59%	81%	159%
RTX Corp	RTX	29.3x	22x	21x	19x	42%	0%	0%	-2%
Safran SA	SAF	28.4x	29x	28x	28x	38%	33%	35%	42%
StandardAero Inc	SARO	17.8x	27x	27x	27x	-13%	25%	31%	36%
TransDigm Group	TDG	26.7x	33x	33x	31x	30%	52%	60%	55%
Textron	TXT	13.7x	13x	15x	16x	-34%	-39%	-30%	-22%
Woodward	WWD	40.0x	32x	30x	27x	95%	46%	46%	34%
Average		**41.4x**	**31x**	**30x**	**30x**	**70%**	**41%**	**44%**	**53%**
Defense									
BWX Technologies	BWXT	35.4x	35x	28x	25x	72%	63%	38%	28%
General Dynamics Corp	GD	22.1x	19x	18x	17x	7%	-13%	-12%	-14%
HII Inc	HII	15.1x	17x	16x	15x	-27%	-23%	-22%	-22%
L3Harris Technologies Inc	LHX	23.6x	20x	19x	18x	15%	-8%	-10%	-8%
Lockheed Martin Corp	LMT	18.4x	18x	17x	17x	-11%	-18%	-18%	-13%
Northrop Grumman	NOC	18.3x	19x	19x	18x	-11%	-10%	-8%	-9%
Average		**22x**	**21x**	**19x**	**19x**	**8%**	**-2%**	**-5%**	**-6%**
Government Services									
Booz Allen Hamilton	BAH	10.4x	20x	20x	20x	-50%	-9%	-3%	1%
CACI International Inc	CACI	15.6x	18x	17x	17x	-24%	-18%	-19%	-14%
Leidos Inc	LDOS	8.7x	15x	15x	15x	-58%	-32%	-30%	-24%
Average		**12x**	**17x**	**17x**	**17x**	**-44%**	**-20%**	**-17%**	**-12%**

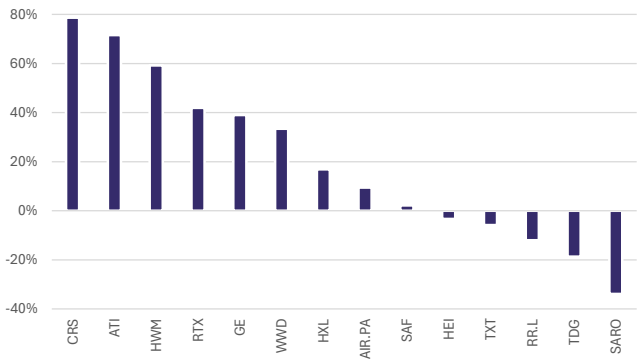
Source: Bloomberg

Exhibit 30 - Current Premium/Discount to 3-Yr Average (P/E) - Aerospace



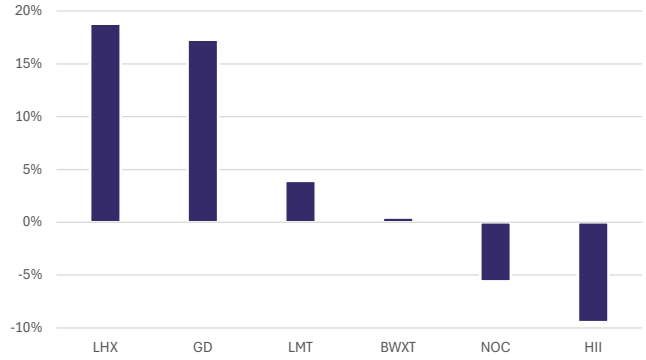
Source: Bloomberg

Exhibit 31 - Current Premium/Discount to 5-Yr Average (P/E) - Aerospace



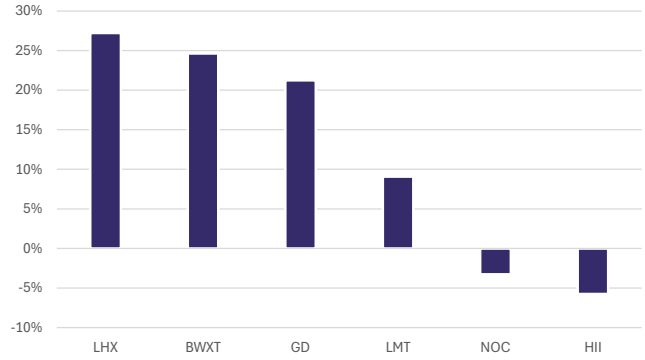
Source: Bloomberg

Exhibit 32 - Current Premium/Discount to 3-Yr Average (P/E) - Defense



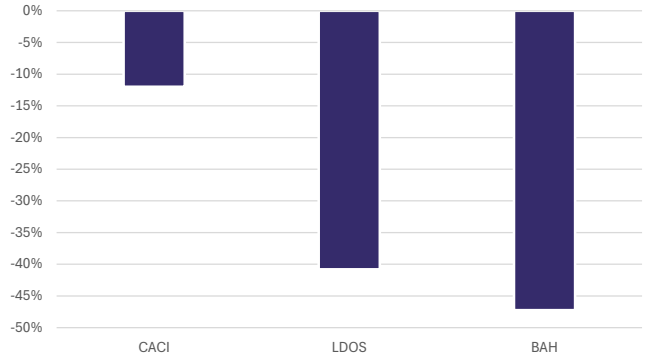
Source: Bloomberg

Exhibit 33 - Current Premium/Discount to 5-Yr Average (P/E) - Defense



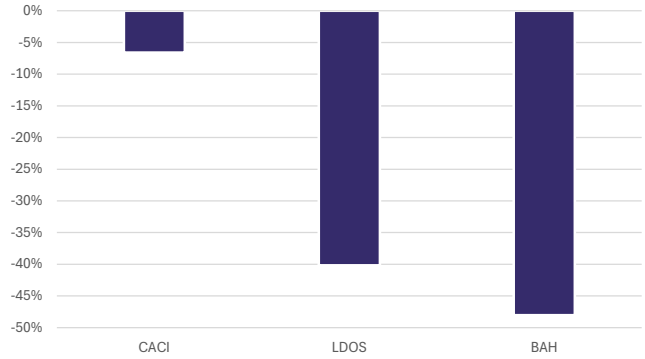
Source: Bloomberg

Exhibit 34 - Current Premium/Discount to 3-Yr Average (P/E) - Government Services



Source: Bloomberg

Exhibit 35 - Current Premium/Discount to 5-Yr Average (P/E) - Government Services



Source: Bloomberg

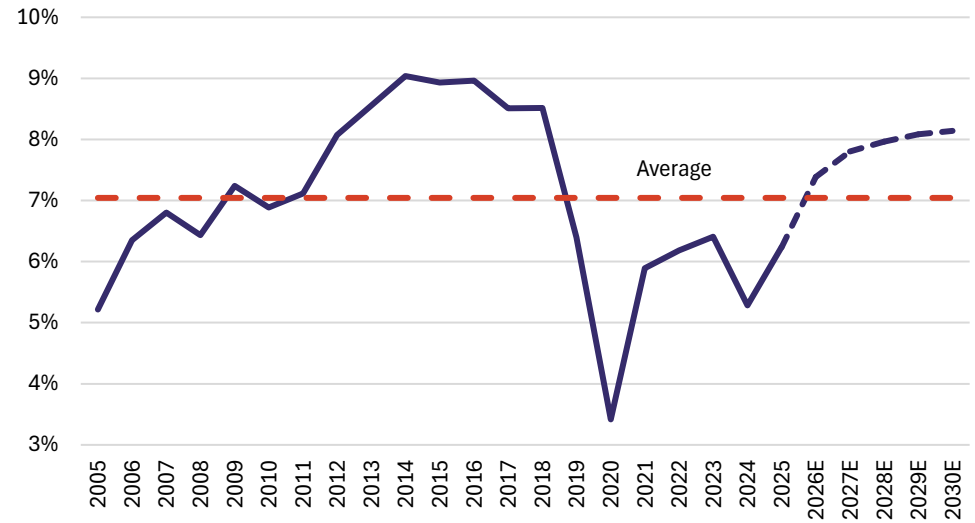
Aerospace

Exhibit 36 - Commercial Aero Delivery Forecast

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
737 NG	70	16	18	13	9	4	8	1	0	0	0	0
737 MAX	57	27	245	374	387	261	439	524	575	625	675	725
747	7	5	7	5	1	0	0	0	0	0	0	0
767	43	30	32	33	32	18	30	29	15	15	15	15
777	45	26	24	24	26	14	35	35	36	36	45	50
787	158	53	14	31	73	51	88	100	120	130	140	150
Boeing	380	157	340	480	528	348	600	689	746	806	875	940
A220	48	38	50	53	68	75	93	100	110	120	130	140
A320 Family	91	15	24	0	0	0	0	0	0	0	0	0
A320neo Family	551	431	459	516	571	602	607	666	715	750	775	800
A330	53	19	18	32	32	32	36	38	45	50	50	50
A340	0	0	0	0	0	0	0	0	0	0	0	0
A350	112	59	55	60	64	57	57	71	85	100	115	130
A380	8	4	5	0	0	0	0	0	0	0	0	0
Airbus	863	566	611	661	735	766	793	875	955	1,020	1,070	1,120
Total	**1,243**	**723**	**951**	**1,141**	**1,263**	**1,114**	**1,393**	**1,564**	**1,701**	**1,826**	**1,945**	**2,060**
YOY Growth	*-23%*	*-42%*	*32%*	*20%*	*11%*	*-12%*	*25%*	*12%*	*9%*	*7%*	*7%*	*6%*
Narrowbodies	**817**	**527**	**796**	**956**	**1,035**	**942**	**1,147**	**1,291**	**1,400**	**1,495**	**1,580**	**1,665**
YOY Growth	*-33%*	*-35%*	*51%*	*20%*	*8%*	*-9%*	*22%*	*13%*	*8%*	*7%*	*6%*	*5%*
Widebodies	**426**	**196**	**155**	**185**	**228**	**172**	**246**	**273**	**301**	**331**	**365**	**395**
YOY Growth	*12%*	*-54%*	*-21%*	*19%*	*23%*	*-25%*	*43%*	*11%*	*10%*	*10%*	*10%*	*8%*

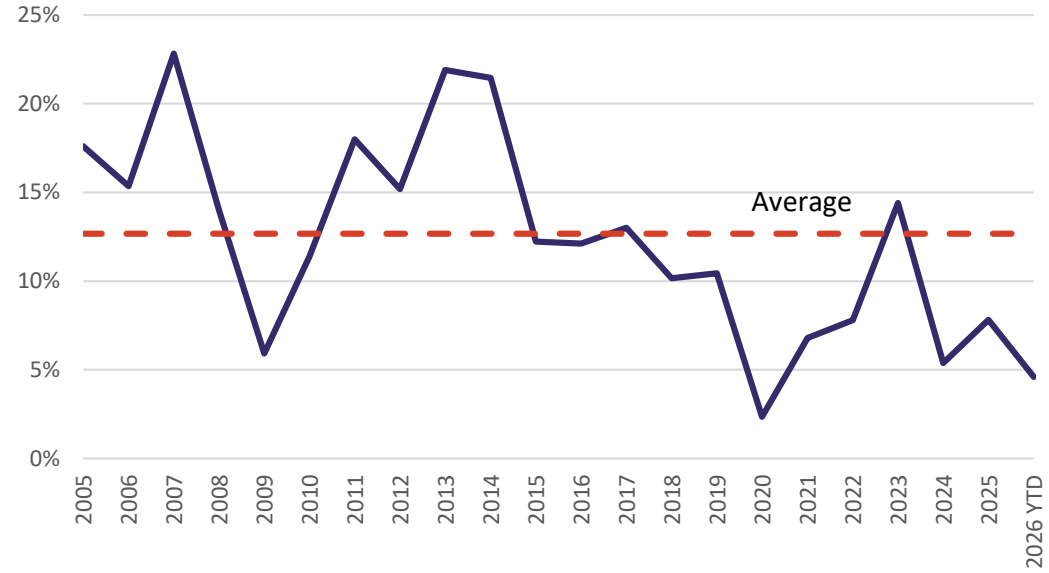
Source: Company reports and Wells Fargo Securities, LLC estimates

Exhibit 37 - Commercial Aircraft Deliveries as % of Installed Base



Source: Cirium and Wells Fargo Securities, LLC

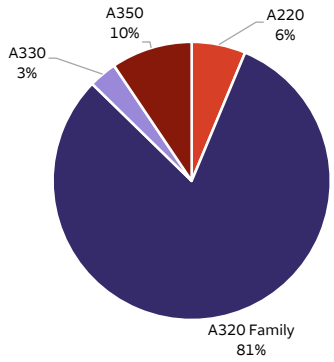
Exhibit 38 - Commercial Aircraft Orders as % of Installed Base



Source: Cirium

2026 YTD through 7/23/26

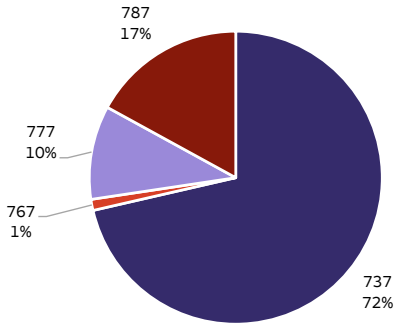
Exhibit 39 - Airbus Backlog by Aircraft (~9,200)



Source: Cirium

As of 7/23/26

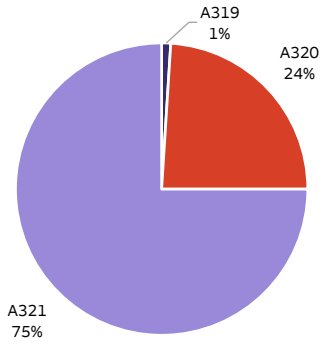
Exhibit 40 - BA Backlog by Aircraft (~6,700)



Source: Cirium

As of 7/23/26

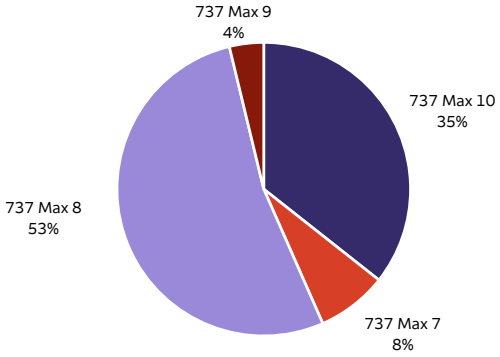
Exhibit 41 - A320 Family Backlog Breakout (~7,500)



Source: Cirium

As of 7/23/26

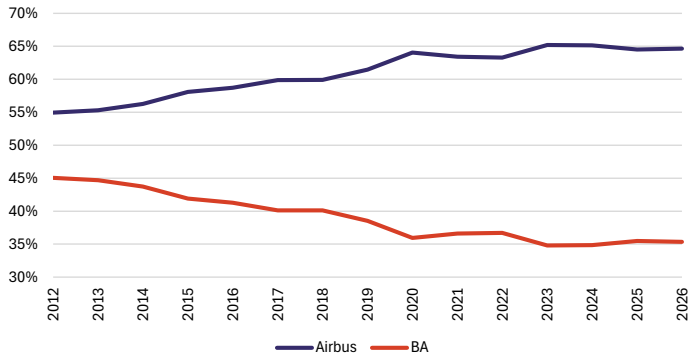
Exhibit 42 - 737 MAX Backlog Breakout (~4,800)



Source: Cirium

As of 7/23/26

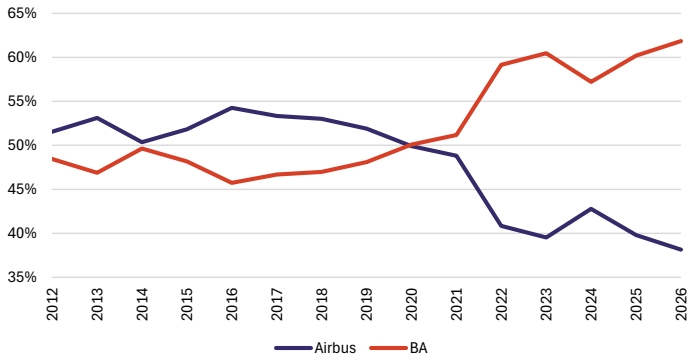
Exhibit 43 - Narrowbody Delivery Share, 2012-Present



Source: Cirium

Seats basis.

Exhibit 44 - Widebody Delivery Share, 2012-Present



Source: Cirium

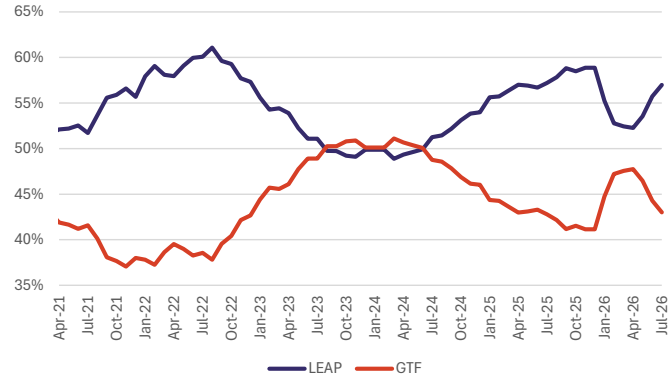
Seats basis.

Exhibit 45 - OE Growth by Company

	2020	2021	2022	2023	2024	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26
ATI	-45%	-7%	96%	38%	8%	25%	14%	15%	5%	5%	
GE	-30%	-12%	4%	21%	11%	10%	35%	29%	8%	23%	27%
Honeywell Aerospace	-36%	-7%	22%	15%	9%	-7%	-12%	2%	5%	3%	17%
Howmet	-38%	-14%	29%	24%	20%	9%	8%	15%	13%	20%	
Hexcel	-50%	1%	37%	18%	12%	-6%	-9%	-7%	8%	19%	
Collins Aerospace Systems	-36%	-9%	16%	18%	3%	2%	1%	16%	9%	15%	26%
Pratt & Whitney	-28%	11%	24%	24%	34%	3%	15%	5%	28%	-1%	-8%
Safran	-42%	-5%	25%	34%	15%	9%	7%	28%	-11%	24%	
Spirit	-62%	22%	30%	20%	2%	-14%	9%	n/a	n/a	n/a	
TransDigm	-21%	-6%	24%	23%	13%	0%	-7%	7%	17%	12%	
Woodward	-48%	31%	31%	26%	6%	-9%	-8%	0%	22%	30%	
Average	-40%	0%	31%	24%	12%	2%	5%	11%	10%	15%	15%

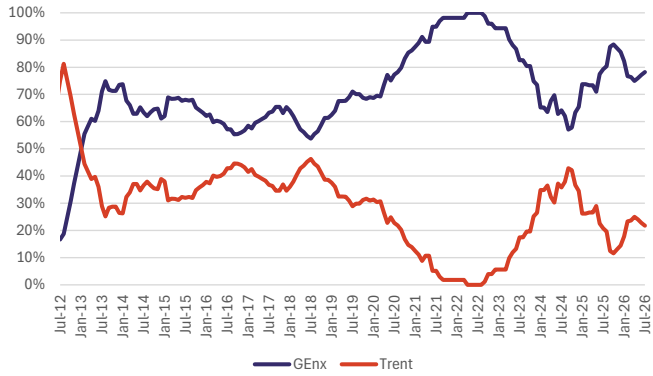
Source: Company Reports

Exhibit 46 - R12M A320 Family Engine Delivery Share (LEAP vs GTF)



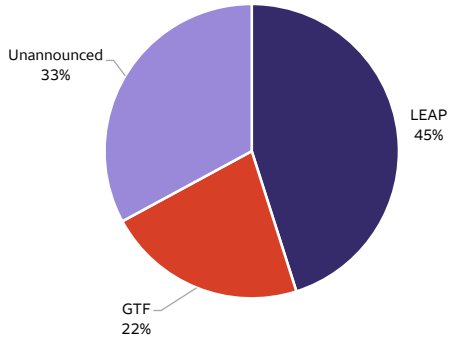
Source: Cirium

Exhibit 47 - R12M 787 Engine Delivery Share (GEnx vs Trent)



Source: Cirium

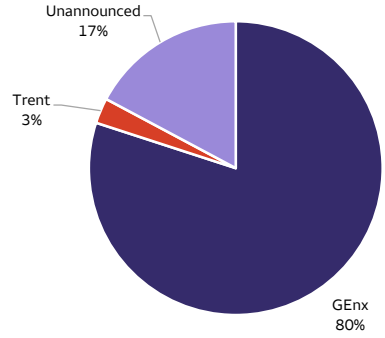
Exhibit 48 - A320 Family Backlog by Engine



Source: Cirium

As of 7/23/26

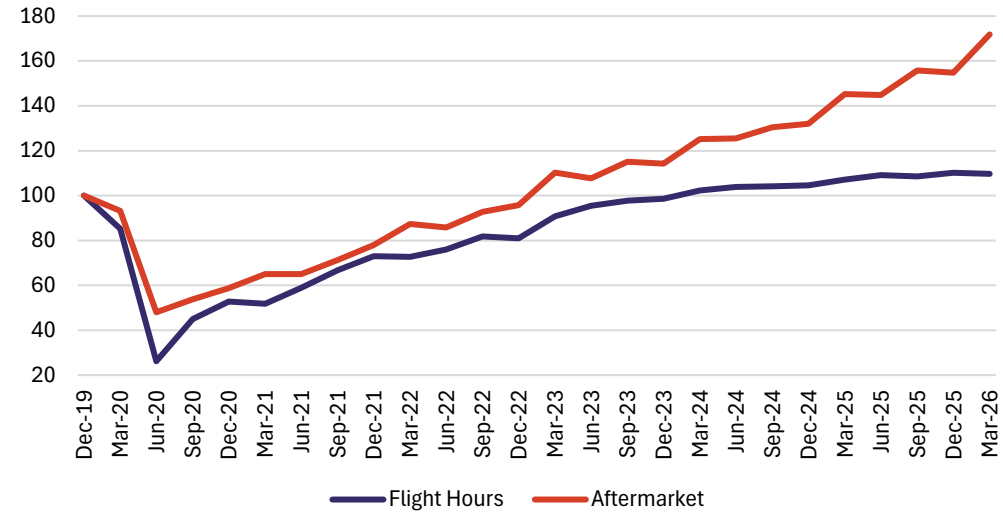
Exhibit 49 - 787 Backlog by Engine



Source: Cirium

As of 7/23/26

Exhibit 50 - Aftermarket vs. Flight Hours, Indexed to 100 in 2019



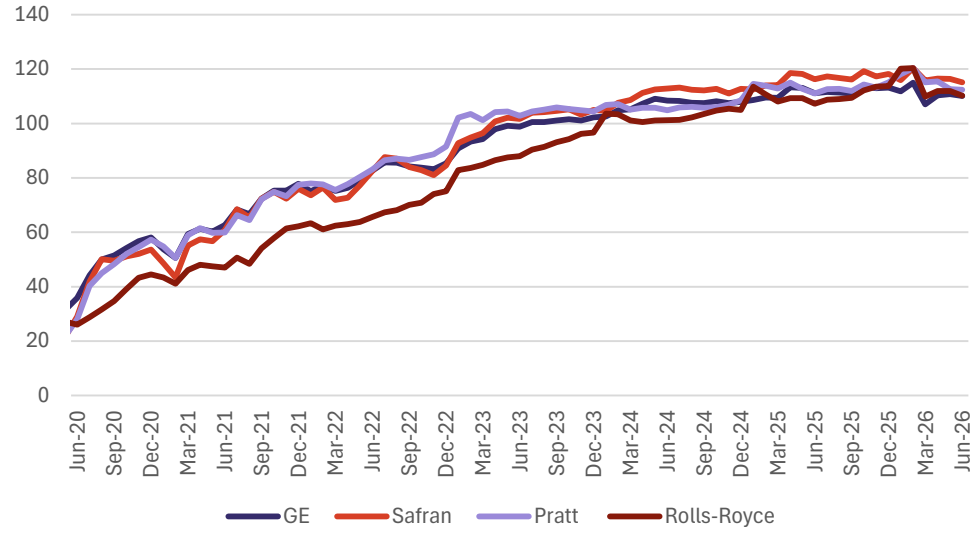
Source: Company reports

Exhibit 51 - Annual YoY Flight Hour Growth by Engine Manufacturer

	2021	2022	2023	2024	2025	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	2026 YTD
GE	20%	24%	21%	9%	4%	3%	5%	-2%	-3%	-2%	-1%	0%
Safran	24%	28%	26%	10%	5%	3%	6%	2%	-2%	-2%	-1%	1%
Pratt	25%	29%	25%	2%	7%	3%	6%	2%	0%	0%	1%	2%
Rolls-Royce	13%	32%	34%	15%	7%	6%	9%	2%	2%	2%	3%	4%

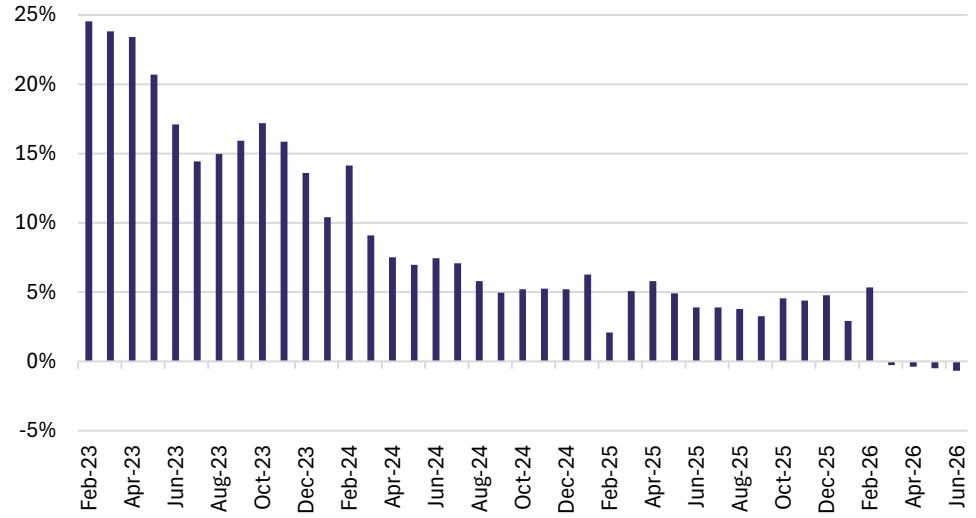
Source: Cirium and Wells Fargo Securities, LLC

Exhibit 52 - Total Flight Hours by Engine Manufacturer (Indexed to 100 in Same Month 2019)



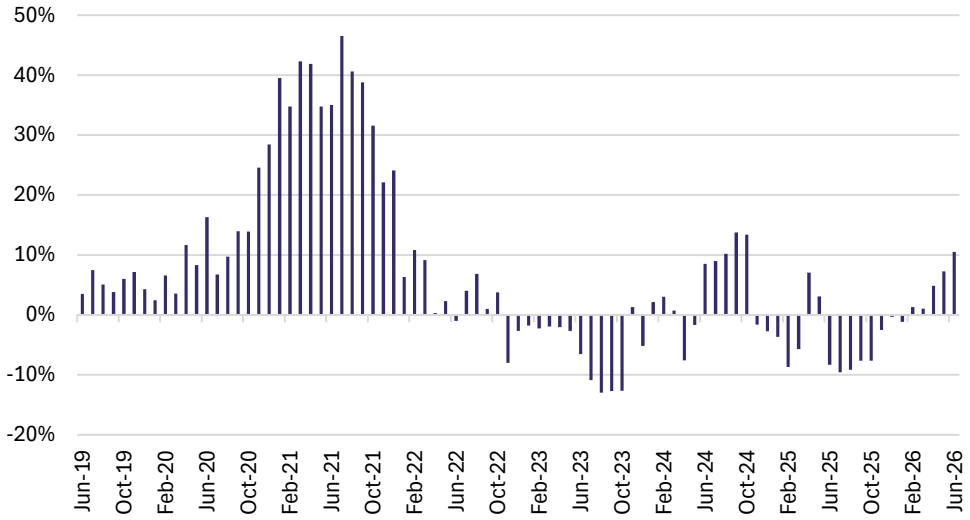
Source: Cirium and Wells Fargo Securities, LLC

Exhibit 53 - Global Passenger Fleet Flight Hours YoY % Change



Source: Diio

Exhibit 54 - Global Freighter Fleet Flight Hours YoY % Change, 2019-Present



Source: Cirium

Exhibit 55 - Flight Schedule YoY Growth by Region

	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	Oct-26
Asia	0%	5%	5%	0%	-3%	-4%	1%	4%	6%	3%
Europe	3%	2%	3%	1%	2%	2%	3%	3%	3%	2%
Middle East	11%	8%	-17%	-43%	-28%	-19%	-8%	-7%	-4%	-2%
North America	1%	1%	1%	2%	1%	-1%	0%	1%	1%	3%
Latin America	4%	4%	8%	5%	4%	3%	6%	7%	9%	10%
Total Global	**1.7%**	**3.4%**	**2.9%**	**-0.6%**	**-1.1%**	**-1.4%**	**1.0%**	**2.3%**	**3.3%**	**3.0%**

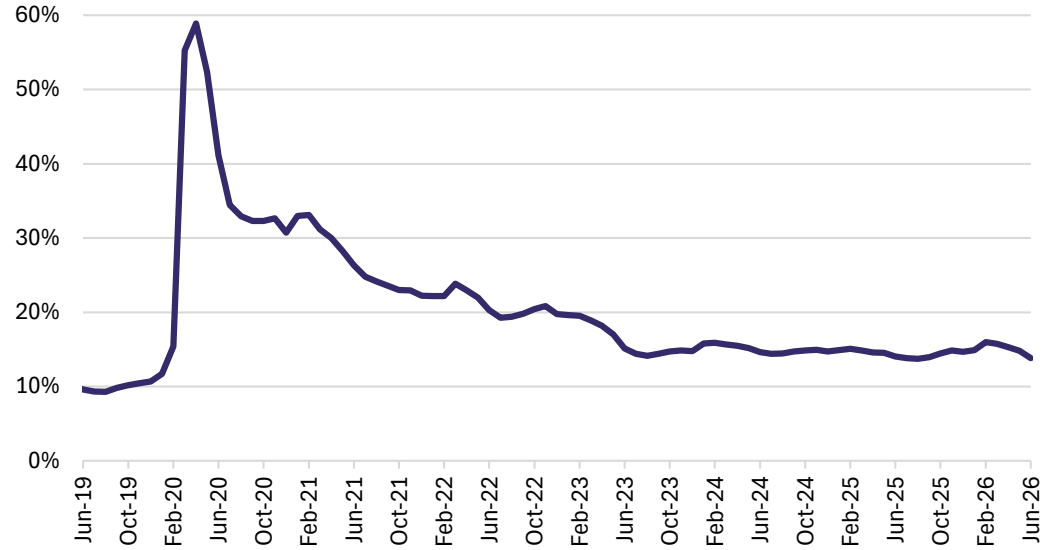
Source: Cirium

Exhibit 56 - Aftermarket Growth by Company

	2020	2021	2022	2023	2024	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26
Boeing	-32%	9%	27%	15%	6%	-1%	3%	7%	0%	2%	
GE	-46%	23%	45%	30%	12%	17%	29%	28%	31%	39%	26%
HEICO	-34%	20%	24%	18%	13%	14%	13%	16%	12%	19%	
Honeywell Aerospace	-33%	9%	23%	22%	15%	15%	7%	19%	13%	3%	7%
MTU Aero Engines	-30%	14%	17%	17%	13%	15%	8%	13%	14%	8%	
Pratt & Whitney	-33%	23%	24%	20%	14%	28%	19%	23%	21%	19%	25%
Collins Aerospace Systems	-36%	17%	28%	27%	12%	13%	13%	13%	13%	7%	10%
Safran	-43%	7%	29%	33%	25%	21%	22%	21%	21%	32%	
Transdigm	-38%	21%	39%	30%	9%	13%	6%	11%	7%	14%	
Rolls Royce	-43%	6%	26%	25%	27%	19%	19%	23%	23%		
Woodward	-34%	-4%	41%	21%	17%	23%	30%	39%	50%	36%	
Average	-37%	13%	29%	23%	15%	16%	15%	19%	19%	18%	17%

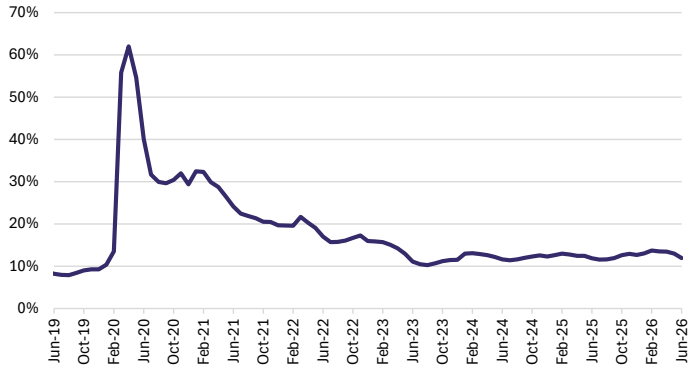
Source: Company Reports

Exhibit 57 - Parked Fleet as Percentage of Installed Base, 2019-Present



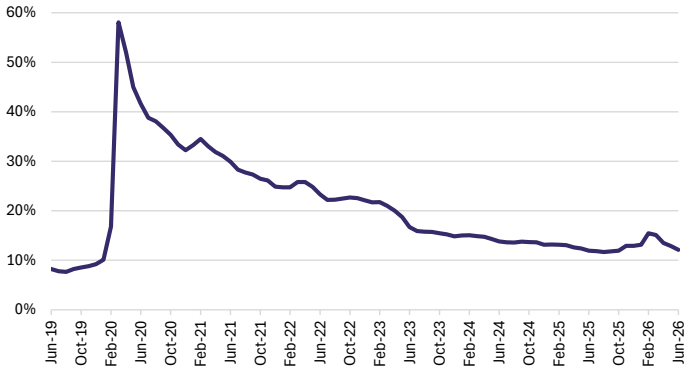
Source: Cirium

Exhibit 58 - NB Parked Fleet as Percentage of Installed Base, 2019-Present



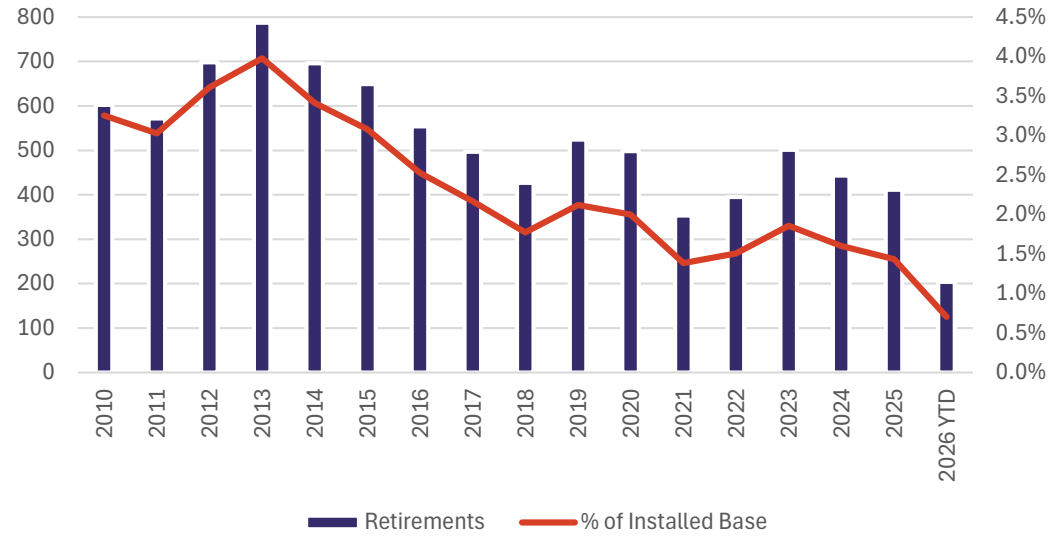
Source: Cirium

Exhibit 59 - WB Parked Fleet as Percentage of Installed Base, 2019-Present



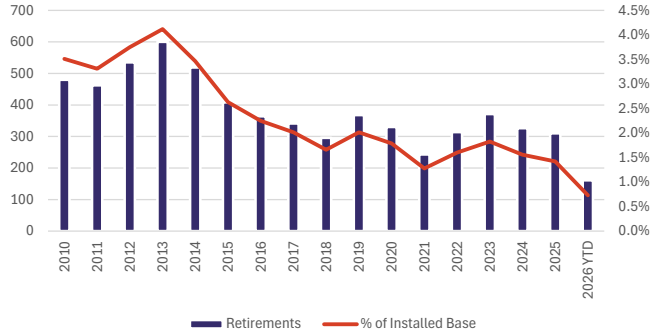
Source: Cirium

Exhibit 60 - Aircraft Retirements Over Time



Source: Cirium

Exhibit 61 - NB Aircraft Retirements Over Time



Source: Cirium

Exhibit 62 - WB Aircraft Retirements Over Time



Source: Cirium

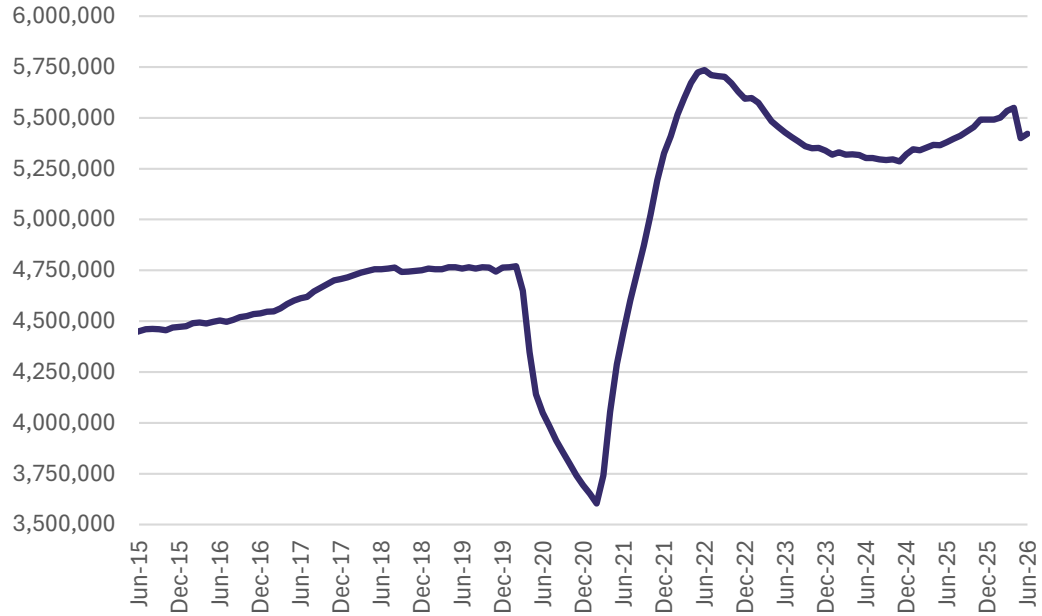
Business Jets

Exhibit 63 - Business Jet Delivery Forecast

	Cabin Class	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Bombardier													
Learjet 70/75	Midsize	12	11	10	3	0	0	0	0	0	0	0	0
Challenger 300/350	Midsize	56	32	35	39	52	59	64	60	60	60	60	60
Challenger 605/650	Midsize	20	12	9	11	11	13	13	10	10	10	10	10
Global 5000/6000	Large	43	24	27	23	22	34	37	40	40	40	40	40
Global 7500/8000	Large	11	35	39	47	53	40	41	45	45	45	45	45
Bombardier Total		142	114	120	123	138	146	155	155	155	155	155	155
Dassault													
Falcon 2000	Midsize	18	12	14	13	10	13	11	12	12	12	12	12
Falcon 900	Large	4	5	3	2	5	2	2	2	2	2	2	2
Falcon 6X	Large	0	0	0	0	0	6	13	18	18	18	18	18
Falcon 7X	Large	5	5	3	4	3	0	0	0	0	0	0	0
Falcon 8X	Large	13	12	10	13	8	10	11	8	8	8	8	8
Dassault Total		40	34	30	32	26	31	37	40	40	40	40	40
Gulfstream													
G200/G280	Midsize	33	22	16	24	22	18	22	22	20	20	20	20
G300/G350	Large	0	0	0	0	0	0	0	0	0	0	0	0
GIV/G400/G450	Large	0	0	0	0	0	0	0	0	0	0	0	0
G500	Large	29	26	29	26	22	25	27	29	25	25	25	25
GV/G550	Large	17	19	8	0	0	0	0	0	0	0	0	0
G600	Large	9	27	29	30	34	32	28	30	30	30	30	30
G650/G700/800	Large	59	33	37	40	33	61	81	82	90	90	90	90
Gulfstream Total		147	127	119	120	111	136	158	163	165	165	165	165
Cessna													
M2	Small	34	24	34	33	25	22	22	22	24	31	32	32
CJ3	Small	37	21	26	29	30	24	31	30	32	32	32	32
CJ4	Small	33	23	27	29	31	26	30	31	32	32	32	32
XLS	Midsize	22	13	19	19	17	15	13	0	0	0	0	0
Latitude	Midsize	58	26	34	42	41	40	47	48	50	50	50	50
Sovereign	Midsize	8	6	3	0	0	1	0	0	0	0	0	0
Longitude	Midsize	13	18	24	26	24	24	25	32	30	30	30	32
Hemisphere	Midsize	0	0	0	0	0	0	0	0	0	0	0	0
X	Midsize	1	1	0	0	0	0	0	0	0	0	0	0
Citation Ascend	Midsize	0	0	0	0	0	0	3	27	37	40	44	47
Cessna Total		206	132	167	178	168	152	171	190	205	215	220	225
Embraer													
Phenom 100	VLJ	11	6	6	7	11	10	14	15	15	15	15	15
Phenom 300	Small	51	50	56	59	63	65	72	75	75	75	75	75
Legacy 450	Midsize	15	0	0	0	0	0	0	0	0	0	0	0
Praetor 500	Midsize	3	10	14	15	20	28	39	40	40	40	40	40
Legacy 500	Midsize	11	1	0	0	0	0	0	0	0	0	0	0
Praetor 600	Midsize	13	18	17	21	21	27	30	35	35	35	35	35
Legacy 600/650	Large	5	1	0	0	0	0	0	0	0	0	0	0
Lineage 1000	Large	0	0	0	0	0	0	0	0	0	0	0	0
Embraer Total		109	86	93	102	115	130	155	165	165	165	165	165
Other - Pilatus PC-24	Small	50	41	47	39	48	48	48	48	48	48	48	48
Other - Hondajet HA-420	VLJ	36	31	35	17	22	22	22	22	22	22	22	22
VLJ		47	37	41	24	33	32	36	37	37	37	37	37
Small		205	159	190	189	197	185	203	206	211	218	219	219
Midsize		283	182	195	213	218	238	267	286	294	297	301	306
Large		195	187	185	185	180	210	240	254	258	258	258	258
Total ex VLJ		683	528	570	587	595	633	710	746	763	773	778	783
Growth (YoY)		*13%*	*-23%*	*8%*	*3%*	*1%*	*6%*	*12%*	*5%*	*2%*	*1%*	*1%*	*1%*

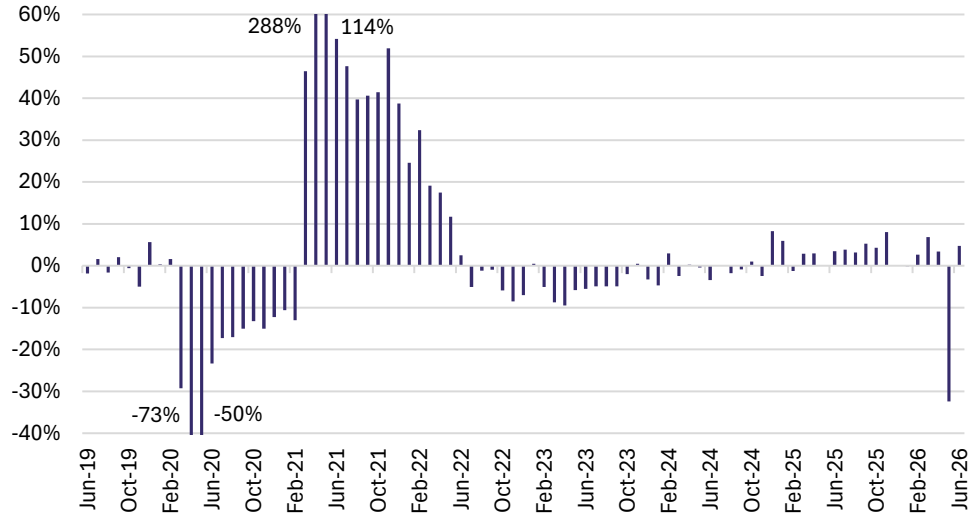
Source: Company Reports and Wells Fargo Securities, LLC estimates

Exhibit 64 - R12M Business Jet Cycles, 2015-Present



Source: FAA

Exhibit 65 - Business Jet Cycles Activity YoY % Change, 2019-Present



Source: FAA

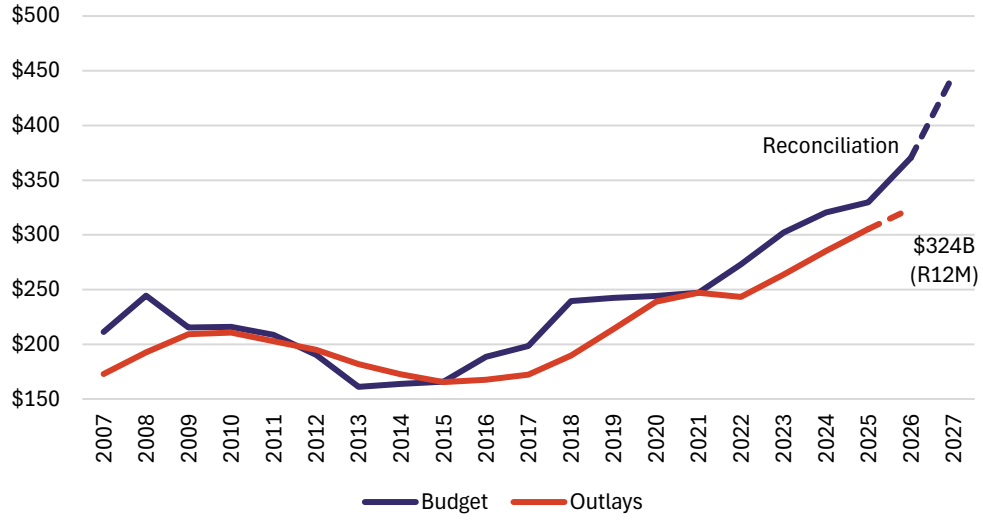
Defense

Exhibit 66 - Modernization Budget by Appropriations Account, FY25-27 Request ($B)

	FY25	FY26 Base Request	FY26 Reconciliation	FY26 Total Including Reconciliation	FY27 Base Request	FY27 Reconciliation	FY27 Request Including Reconciliation	Growth FY27 Base Request vs FY26 Base	Growth FY27 vs FY26 Total Including Reconciliation	Companies Most Exposed
Aircraft, Army	3.5	3.6	0.4	4.1	1.9	0.0	1.9	-47%	-52%	BA, LMT
Missiles, Army	7.5	7.3	0.7	8.0	12.1	24.5	36.6	66%	360%	LMT, RTX
Weapons & Combat Vehicles, Army	5.9	3.0	0.5	3.5	3.7	0.0	3.7	24%	7%	BAE, GD
Ammunition, Army	4.5	4.6	0.4	4.9	5.5	0.0	5.5	20%	11%	
Other Procurement, Army	10.1	9.4	0.6	10.1	12.7	0.0	12.7	35%	26%	
Chem Agents & Munitions Destruction	0.8	0.2	0.0	0.2	0.1	0.0	0.1	-74%	-74%	
Procurement, Army	**32.3**	**28.1**	**2.6**	**30.7**	**36.0**	**24.5**	**60.5**	**28%**	**97%**	
Aircraft, Navy	15.9	17.2	0.5	17.7	26.9	7.5	34.4	56%	94%	BA, LMT
Weapons, Navy	7.1	6.1	4.1	10.2	11.8	10.9	22.6	93%	123%	LMT, RTX
Ammunition, Navy & Marine Corps	1.9	1.1	0.2	1.3	2.0	0.0	2.0	78%	46%	
Shipbuilding and Conversion, Navy	39.0	27.2	22.5	49.6	60.2	5.6	65.8	122%	33%	BWXT, GD, HII
Other Procurement, Navy	15.8	14.7	5.8	20.5	18.9	0.1	18.9	28%	-8%	
Procurement, Marine Corps	3.8	3.7	0.3	4.0	6.3	0.0	6.3	71%	58%	
Procurement, Navy	**83.5**	**70.0**	**33.4**	**103.4**	**126.0**	**24.0**	**150.0**	**80%**	**45%**	
Aircraft, Air Force	19.8	20.0	10.2	30.1	27.0	3.7	30.6	35%	2%	BA, LMT
Missiles, Air Force	5.3	4.0	2.3	6.3	6.8	4.6	11.4	72%	80%	LMT, RTX
Ammunition, Air Force	1.0	0.8	0.1	0.9	0.9	0.0	0.9	18%	5%	BA
Other Procurement, Air Force	31.0	32.6	0.4	33.1	39.2	0.0	39.2	20%	19%	
Procurement, Air Force	**57.2**	**57.3**	**13.1**	**70.4**	**73.9**	**8.2**	**82.1**	**29%**	**17%**	
Procurement, Space Force	**4.0**	**4.0**	**0.3**	**4.3**	**9.6**	**9.4**	**19.1**	**139%**	**344%**	BA, LMT, NOC
Procurement, Defense-Wide	9.6	8.9	6.2	15.1	12.0	89.3	101.4	36%	571%	BA, LMT, NOC, RTX
Total Procurement	**186.5**	**168.3**	**55.6**	**223.8**	**257.6**	**155.5**	**413.1**	**53%**	**85%**	
Army RDT&E	14.5	16.6	1.8	18.3	18.7	0.0	18.7	13%	2%	
Navy RDT&E	26.1	27.9	6.7	34.7	32.4	3.8	36.2	16%	4%	
Air Force RDT&E	47.0	50.3	6.7	57.0	73.1	1.1	74.2	45%	30%	
Space Force RDT&E	18.5	14.8	5.5	20.3	38.4	2.3	40.7	160%	100%	
Other RDT&E	37.2	35.3	44.7	80.0	56.2	117.6	173.9	59%	117%	
Total RDT&E	**143.3**	**144.9**	**65.5**	**210.4**	**218.8**	**124.9**	**343.7**	**51%**	**63%**	
Army Modernization	46.8	44.7	4.4	49.1	54.7	24.5	79.2	22%	61%	
Navy Modernization	109.6	97.9	40.1	138.0	158.4	27.9	186.3	62%	35%	
Air Force Modernization	104.2	107.6	19.8	127.4	147.0	9.3	156.3	37%	23%	
Space Force Modernization	22.4	18.8	5.8	24.6	48.0	11.7	59.7	155%	143%	
Other Modernization	46.8	44.2	50.9	95.2	68.3	207.0	275.3	54%	189%	
Total Modernization	**329.9**	**313.2**	**121.0**	**434.2**	**476.4**	**280.4**	**756.8**	**52%**	**74%**	

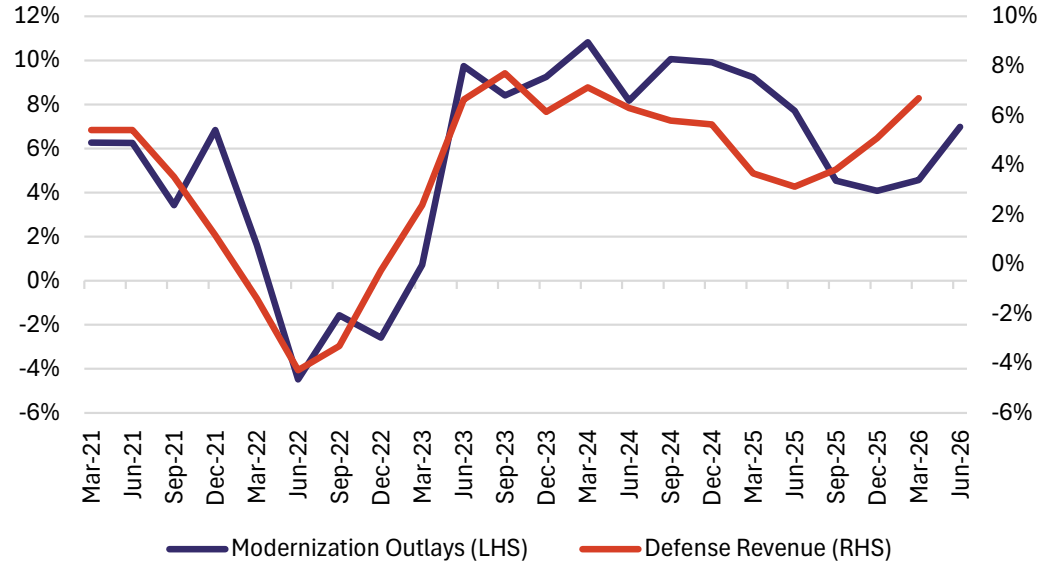
Source: OMB

Exhibit 67 - DoD Modernization Budget vs Outlays ($B)



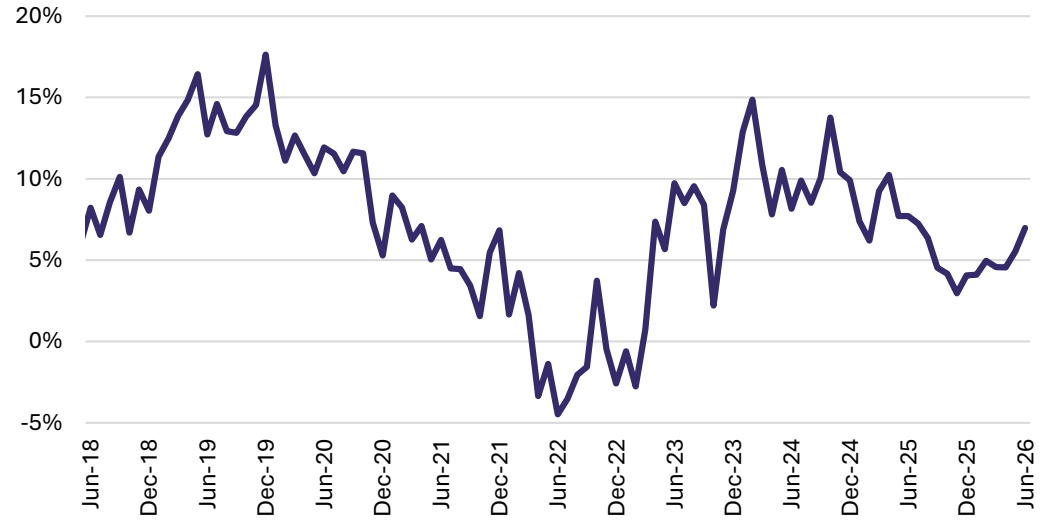
Source: DoD

Exhibit 68 - R12M Quarterly Modernization Outlays vs Defense Organic Revenue Growth



Source: Company reports and US Treasury

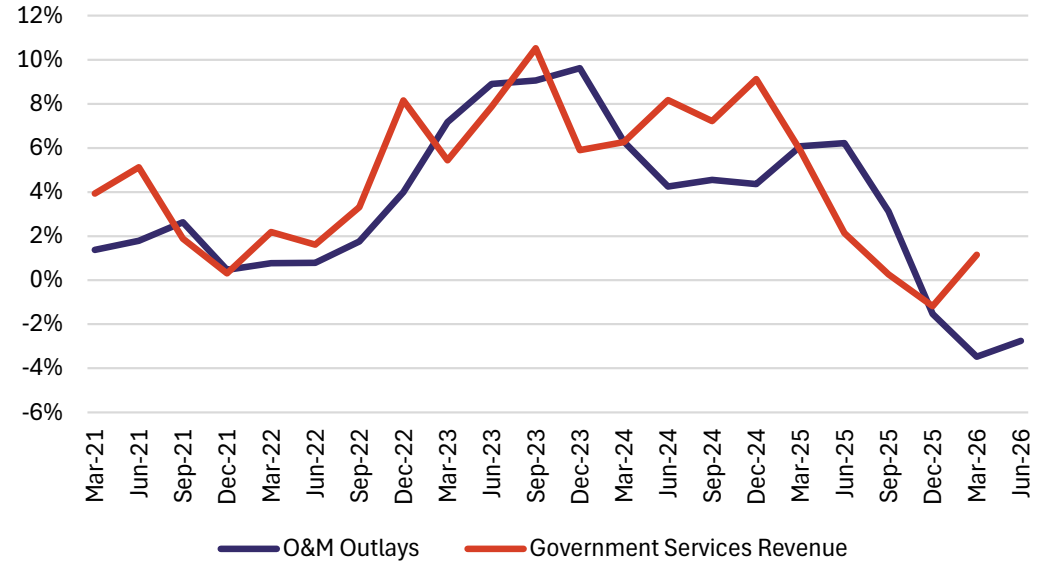
Exhibit 69 - R12M Modernization Outlays Growth



Source: US Treasury

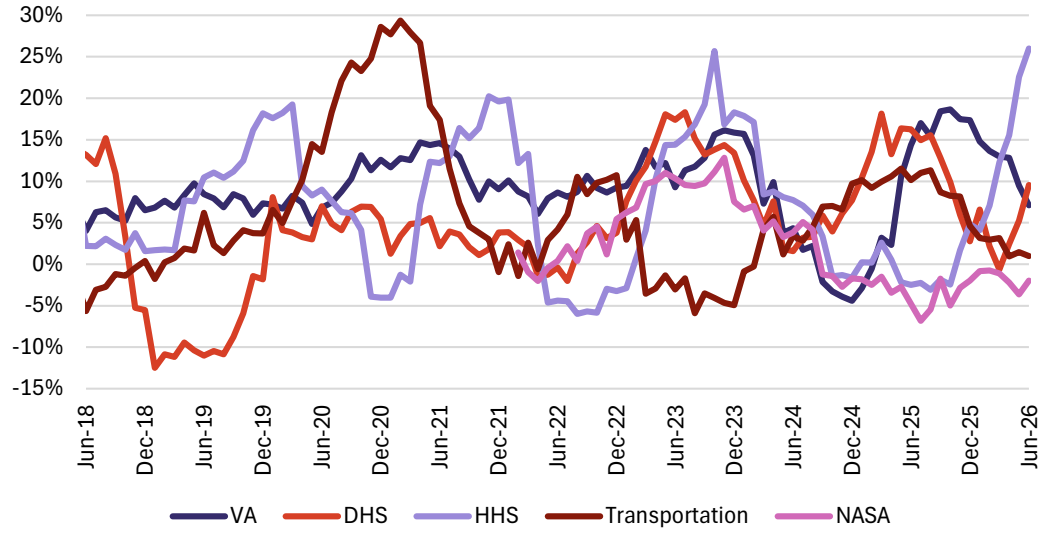
Government Services

Exhibit 70 - R12M Quarterly O&M Outlays vs Government Services Organic Revenue Growth



Source: Company reports and US Treasury

Exhibit 71 - R12M Civil Outlays



Source: US Treasury

Space

Exhibit 72 - Monthly Launch Table

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
Blue Origin	0	0	1	2	3	1	6	4	1	4	11	1	0	0	1	0	0	0
FLY	0	0	0	0	0	0	1	1	2	1	1	0	0	1	0	0	0	0
RKLB	0	0	1	3	6	7	6	9	10	16	21	2	1	3	2	1	2	0
SpaceX	7	8	18	21	13	25	31	61	96	132	161	12	12	15	11	12	14	7
ULA	12	12	8	8	5	6	5	8	3	3	5	0	0	0	2	0	0	1
Total	**19**	**20**	**28**	**34**	**27**	**39**	**49**	**83**	**112**	**156**	**199**	**15**	**13**	**19**	**16**	**13**	**16**	**8**

Source: FAA and Company Reports

Financials (Model Changes)

Exhibit 73 - LMT Income Statement ($M, except per share amounts)

	2023 Fiscal Year	2024 Fiscal Year	1Q Mar-25	2Q Jun-25	3Q Sep-25	4Q Dec-25	2025 Fiscal Year	1Q Mar-26	2Q Jun-26	3QE Sep-26	4QE Dec-26	2026E Fiscal Year	2027E Fiscal Year	2028E Fiscal Year
Revenue	67,571	71,043	17,963	18,155	18,609	20,321	75,048	18,021	20,063	20,813	22,463	81,361	87,128	92,853
% YoY Growth		*5%*	*4%*	*0%*	*9%*	*9%*	*6%*	*0%*	*11%*	*12%*	*11%*	*8%*	*7%*	*7%*
Operating costs and expenses	59,064	64,030	15,591	17,407	16,329	17,990	67,317	15,943	17,584	18,345	19,713	71,585	76,550	81,510
Operating income	8,507	7,013	2,372	748	2,280	2,331	7,731	2,063	2,479	2,468	2,750	9,761	10,578	11,343
% Margin	12.6%	9.9%	13.2%	4.1%	12.3%	11.5%	10.3%	11.4%	12.4%	11.9%	12.2%	12.0%	12.1%	12.2%
Interest expense, net	916	1,036	268	274	286	290	1,118	269	266	257	257	1,048	955	864
Non-service FAS pension (expense) income	443	62	(98)	(99)	(99)	(578)	(874)	(80)	(80)	(80)	(80)	(320)	(320)	(320)
Other non-operating income, net	64	181	30	42	43	68	183	60	45			105	0	0
Pre-tax income	8,098	6,220	2,036	417	1,938	1,531	5,922	1,774	2,178	2,132	2,414	8,497	9,303	10,158
Tax rate	14.5%	14.2%	15.9%	18.0%	16.5%	12.2%	15.3%	16.1%	15.7%	16.5%	16.5%	16.2%	16.5%	16.5%
Provision for income tax	1,178	884	324	75	319	187	905	286	342	353	398	1,379	1,538	1,676
Net earnings	6,920	5,336	1,712	342	1,619	1,344	5,017	1,488	1,836	1,779	2,015	7,118	7,766	8,482
Other income	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net income, reported	6,920	5,336	1,712	342	1,619	1,344	5,017	1,488	1,836	1,779	2,015	7,118	7,766	8,482
Other	(7)	1,359	0	0	0	268	268	0	0	0	0	0	0	0
Net income, adjusted	6,913	6,695	1,712	342	1,619	1,612	5,285	1,488	1,836	1,779	2,015	7,118	7,766	8,482
Common shares outstanding	250.5	238.3	234.4	233.5	231.9	230.9	232.7	229.9	230.2	230.2	230.2	230.1	230.2	230.2
Diluted shares outstanding	251.4	239.2	235.3	234.6	232.8	231.9	233.7	231.1	231.1	231.1	231.1	231.1	231.1	231.1
GAAP EPS (basic)	$27.65	$22.35	$7.30	$1.46	$6.98	$5.82	$21.57	$6.47	$7.98	$7.73	$8.75	$30.93	$33.73	$36.85
GAAP EPS (diluted)	**$27.55**	**$22.27**	**$7.28**	**$1.46**	**$6.95**	**$5.80**	**$21.48**	**$6.44**	**$7.94**	**$7.70**	**$8.72**	**$30.80**	**$33.60**	**$36.70**
Adj EPS (basic)	$27.62	$28.11	$7.30	$1.46	$6.98	$6.98	$22.73	$6.47	$7.98	$7.73	$8.75	$30.93	$33.73	$36.85
Adj EPS (diluted)	$27.52	$28.00	$7.28	$1.46	$6.95	$6.95	$22.64	$6.44	$7.94	$7.70	$8.72	$30.80	$33.60	$36.70
Dividends per share	$12.15	$12.75	$3.30	$3.30	$3.30	$3.45	$13.35	$3.45	$3.45	$3.45	$3.62	$13.97	$14.67	$15.40

Source: Company reports and Wells Fargo Securities, LLC estimates

Exhibit 74 - NOC Income Statement ($M, except per share amounts)

	2023 Fiscal Year	2024 Fiscal Year	1Q Mar-25	2Q Jun-25	3Q Sep-25	4Q Dec-25	2025 Fiscal Year	1Q Mar-26	2Q Jun-26	3QE Sep-26	4QE Dec-26	2026E Fiscal Year	2027E Fiscal Year	2028E Fiscal Year
Revenue	39,290	41,033	9,468	10,351	10,423	11,712	41,954	9,881	10,876	11,222	12,340	44,319	47,390	50,687
% YoY Growth		*4%*	*-7%*	*1%*	*4%*	*10%*	*2%*	*4%*	*5%*	*8%*	*5%*	*6%*	*7%*	*7%*
Operating costs and expenses	36,753	36,663	8,895	8,926	9,181	10,441	37,443	8,892	9,780	10,001	10,981	39,654	42,429	45,366
Operating income	2,537	4,370	573	1,425	1,242	1,271	4,511	989	1,096	1,221	1,359	4,665	4,961	5,321
% Margin	6.5%	10.6%	6.1%	13.8%	11.9%	10.9%	10.8%	10.0%	10.1%	10.9%	11.0%	10.5%	10.5%	10.5%
Interest expense, net	545	621	156	173	161	175	665	162	161	154	152	629	579	493
FAS (non-service) pension benefit	530	656	130	137	136	138	541	166	166	165	165	662	680	680
Other	(176)	611	31	38	106	506	681	37	67			104	0	0
Pre-tax income	2,346	5,016	578	1,427	1,323	1,740	5,068	1,030	1,168	1,233	1,372	4,802	5,062	5,508
Tax rate	12.4%	16.8%	16.8%	17.7%	16.9%	18.0%	17.5%	15.0%	6.3%	17.0%	17.0%	14.0%	17.0%	17.0%
Provision for income tax	290	842	97	253	223	313	886	155	74	210	233	672	861	936
Net earnings	2,056	4,174	481	1,174	1,100	1,427	4,182	875	1,094	1,023	1,139	4,131	4,201	4,571
Other income	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net income, reported	2,056	4,174	481	1,174	1,100	1,427	4,182	875	1,094	1,023	1,139	4,131	4,201	4,571
MTM (benefit)/expense, net of tax	316	(332)	0	0	0	(394)	(394)	0	0	0	0	0	0	0
Net income, adjusted	2,372	3,842	481	1,174	1,100	1,033	3,788	875	1,094	1,023	1,139	4,131	4,201	4,571
Common shares outstanding	152.1	147.2	144.6	143.7	143.5	142.9	143.7	142.1	142.1	142.1	142.1	142.1	142.1	142.1
Diluted shares outstanding	152.1	147.4	144.9	144.0	143.5	142.9	143.8	142.5	142.4	142.4	142.4	142.4	142.4	142.4
GAAP EPS (basic)	$13.47	$28.38	$3.33	$8.17	$7.67	$9.99	$29.15	$6.16	$7.70	$7.20	$8.01	$29.07	$29.57	$32.17
GAAP EPS (diluted)	$13.47	$28.35	$3.32	$8.15	$7.67	$9.99	$29.12	$6.14	$7.68	$7.18	$8.00	$29.00	$29.50	$32.10
Adj EPS (basic)	$15.56	$26.10	$3.33	$8.17	$7.67	$7.23	$26.39	$6.16	$7.70	$7.20	$8.01	$29.07	$29.57	$32.17
Adj EPS (diluted)	**$15.56**	**$26.08**	**$3.32**	**$8.15**	**$7.67**	**$7.23**	**$26.37**	**$6.14**	**$7.68**	**$7.18**	**$8.00**	**$29.00**	**$29.50**	**$32.10**
Dividends per share	$7.34	$8.05	$2.06	$2.31	$2.31	$2.31	$8.99	$2.31	$2.47	$2.47	$2.47	$9.72	$10.47	$11.31

Source: Company reports and Wells Fargo Securities, LLC estimates

Companies Mentioned in Report

Company Name	Ticker	Last Price (07/23/26)
Airbus SE	AIR-FR	€204.50
Arxis, Inc.	ARXS	$42.65
ATI Inc.	ATI	$199.84
Booz Allen Hamilton Holding Corporation	BAH	$65.87
BWX Technologies, Inc.	BWXT	$176.67
CACI International Inc	CACI	$480.61
Carpenter Technology Corporation	CRS	$601.54
GE Aerospace	GE	$349.00
General Dynamics Corporation	GD	$381.79
HEICO Corporation	HEI	$340.54
Hexcel Corporation	HXL	$109.89
Honeywell Aerospace Inc.	HONA	$195.87
Howmet Aerospace Inc.	HWM	$287.09
Huntington Ingalls Industries, Inc.	HII	$287.09
Leidos Holdings, Inc.	LDOS	$110.33
Lockheed Martin Corporation	LMT	$568.59
Northrop Grumman Corporation	NOC	$533.48
Rolls-Royce Holdings plc	RR-GB	£13.59
RTX Corporation	RTX	$209.16
Safran SA	SAF-FR	€321.40
StandardAero Inc.	SARO	$28.26
Textron Inc.	TXT	$93.19
The Boeing Company	BA	$209.23
TransDigm Group Incorporated	TDG	$1,213.83
Voyager Technologies Inc.	VOYG	$26.38
Woodward, Inc.	WWD	$411.94
York Space Systems Inc.	YSS	$17.62

Source: Wells Fargo Securities LLC Estimates, FactSet

Required Disclosures

I, David Strauss, certify that:
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2) No part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by me in this research report.

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OW=Overweight: Total return on stock expected to be 10%+ over the next 12 months. (BUY)

EW=Equal Weight: Total return on stock expected to be -10% to +10% over the next 12 months. (HOLD)

UW=Underweight: Total return on stock expected to lag the Overweight- and Equal Weight-rated stocks within the analyst's coverage universe over the next 12 months. (SELL)

NR=Not Rated: The rating and price target has been removed due to lack of fundamental basis to support the recommendation or due to legal, regulatory or company policy considerations.

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6.4% of companies covered by Wells Fargo Securities, LLC Equity Research are rated Underweight. (SELL)
Wells Fargo Securities, LLC has provided investment banking services for 43.0% of its Equity Research Overweight-rated companies. (BUY)
Wells Fargo Securities, LLC has provided investment banking services for 38.3% of its Equity Research Equal Weight-rated companies. (HOLD)
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